

A DEEP DIVE FROM ZERO

Private Credit

What it is, where it came from, how the money works, who runs it, what is happening to it right now, and what the critics say.

Written for someone who has never encountered it.

The old route: a company borrows from a bank



The private credit route: the bank is cut out



That last sentence is the whole asset class.

Everything good about private credit, and everything worrying about it, follows from the absence of a market price.

Structure of the two routes. The detail, the numbers and the arguments start on page one.

WHY THIS EXISTS

So that "I want to be a client portfolio manager for private credit" is a sentence you can defend for an hour, not just say.

HOW TO READ IT

Parts 1 to 5 build from nothing. Parts 6 to 9 are the arguments. Part 11 is the job. Nothing assumes prior knowledge.

COMPILED

19 September 2026 from public sources. Every non-obvious claim carries a source marker and a confidence tag. Market-size figures differ by provider, and Part 2 explains why.

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What is in here

Fourteen parts, built to be read in order the first time. Every term is defined where it first appears, and there is a glossary at the back for when it is not.

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ONE INSTRUCTION BEFORE YOU START

Do not skip Part 1 because it looks basic. Almost every confusion later in this document comes from someone not being completely solid on the difference between lending money and owning a business. Ten minutes there saves an hour afterwards.

PART 0

Start here

The ten things that actually matter, in the order they build. If you read only this page you will know more than most people who use the phrase "private credit" in conversation.

1. **It is lending, not owning.** The upside is capped at being repaid with interest. The downside is protected by the owners' money underneath you. That asymmetry drives everything. Part 1.2.
2. **The defining feature is that there is no market price.** The loan never trades. That is why it can be held calmly through a panic, and why its reported value is an estimate produced by the firm that is paid on the basis of it. Both consequences are real. Part 5.5.
3. **It exists because regulation moved it.** After 2008, capital rules and the 2013 US leveraged lending guidance made these loans expensive for banks to hold. The loans went to funds instead. In December 2025 the regulators withdrew that guidance as "overly restrictive"^[P6], which is a twist worth knowing. Part 2.2.
4. **Nobody agrees how big it is,** and knowing why is a better answer than any single figure. Estimates run from roughly \$1.5trn on a narrow definition to about \$3.5trn on a broad one, because of scope, dry powder and dates. Part 2.3.
5. **The return is contractual income.** Around 8.5% to 9.5% all-in on senior loans in 2026^[P61]: a floating reference rate, plus a credit spread, plus fees. You collect interest; you are not waiting for an exit. Part 5.2.
6. **It is mostly senior and secured.** Around 86% of documented deals are first lien or unitranche^[P51]. The caricature of private credit as exotic is wrong. But US Federal Reserve research put recoveries after default at about **33%, below syndicated loans at 52%**^[P120], which complicates the standard pitch. Part 5.4.
7. **Headline default rates understate the strain,** because amend-and-extend, PIK and covenant waivers keep loans out of the statistics. PIK-featured loans rose from 5.4% to 9.8% of BDC loans between 2022 and 2026^[P69]. Part 5.4.
8. **The growth is no longer in corporate lending.** Practitioners name asset-based finance and fund finance as the fastest-growing areas^[P52]. If you describe private credit as "lending to companies", you are describing 2018. Part 3.
9. **The biggest structural story is insurance.** Managers have bought annuity companies to obtain permanent capital, converting fee income into spread income on their own balance sheet. Part 8.1.
10. **The unresolved question is whether the money is as patient as the assets.** The industry's best defence is that its capital is locked up. Its growth came from evergreen vehicles where it is not. That tension broke into the open in 2026. Part 8.3 and Part 9.5.

THE ONE SENTENCE THAT HOLDS IT TOGETHER

Private credit is the business of matching patient money to loans that cannot be sold. Every argument in this document, historical, commercial or regulatory, is a version of the question "is the money actually patient enough?" Banks turned out not to be the right holder. Insurance companies are. Whether quarterly-redemption retail vehicles are is the live question of 2026.

A NOTE ON THE NUMBERS IN THIS DOCUMENT

Private credit is badly served by data. Different providers report different market sizes, different default rates and different recovery rates, honestly, because they measure different things. Where this document gives a figure it names the source and marks the confidence. Where providers disagree it shows the disagreement rather than picking a winner. **Any figure marked Reported rests on one source.** Check before you use it somewhere it matters.

PART 1

What private credit actually is

Start here. Three ideas, and if you have all three you can follow everything that comes afterwards: what a loan is as an investment, what makes one private, and why that changes everything.

1.1 The definition, and what it is not

Private credit is lending money directly to a company, through a fund rather than a bank, where the loan is negotiated privately between the two sides and never traded on a market.

That is the whole thing. Every complication later is a variation on it.

Pull the sentence apart:

- **Lending, not owning.** You are a creditor, not a shareholder. You get interest and your money back. You do not get a share of the upside if the business triples in value. See 1.2, because this is the distinction people get wrong.
- **Directly.** One lender, or a small group, negotiating with one borrower. Not hundreds of anonymous buyers of a bond.
- **Through a fund.** The money comes from pension schemes, insurers, endowments, sovereign wealth funds and, increasingly, wealthy individuals and ordinary savers. A manager pools it and lends it out.
- **Never traded.** There is no screen anywhere showing what the loan is worth. This is the fact that generates both the returns and the anxieties.

KEY TERM · THE WORD "PRIVATE"

"Private" here does not mean secret or shady. It means **not publicly traded**. A public bond can be bought and sold by anyone through a broker and has a price that moves every day. A private loan is a bilateral contract that sits on the lender's books until it is repaid. Same underlying idea, completely different plumbing.

What it is not, which is how you place it

Thing	What it is	How private credit differs
A bank loan	A bank lends deposits to a company and keeps the loan.	Same economics, different lender. The bank funds itself with deposits that can be withdrawn tomorrow. A credit fund is funded with money committed for years.
A broadly syndicated loan BSL	A bank arranges a large loan then sells slices to many institutional buyers. Those slices then trade.	A syndicated loan has a market price and many owners. A private loan has neither. This is the closest comparison and the main competitor.
A high yield bond	A publicly issued bond from a company with a sub-investment-grade rating. Traded, rated, disclosed.	Private credit needs no public rating, no public disclosure, and usually pays a floating rate rather than a fixed coupon.
A CLO collateralised loan obligation	A vehicle that buys a portfolio of loans and issues tranches of securities against them.	A CLO is a way of <i>financing</i> loans, not a type of loan. CLOs mostly hold syndicated loans, though private credit CLOs now exist.

Thing	What it is	How private credit differs
Private equity	Buying and owning whole companies.	Often the same borrowers and sometimes the same firms, but the opposite side of the balance sheet. See 1.2.

FIGURE 1 · THE CREDIT SPECTRUM

Four ways the same company can borrow, arranged by how many people end up owning the debt

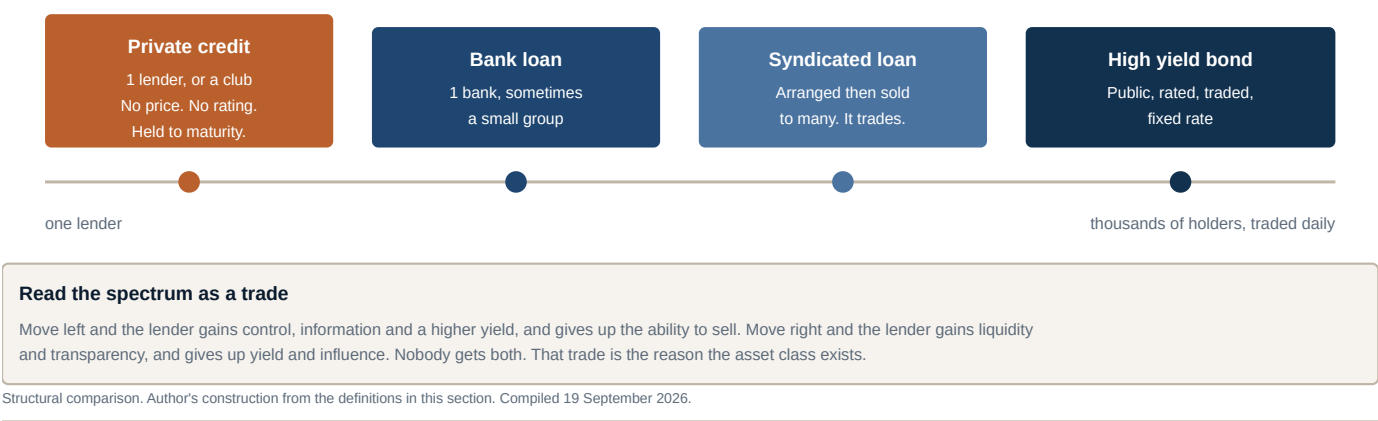


Figure 1. Where private credit sits. **Inferred** arrangement of standard definitions.

1.2 Debt versus equity, in one page

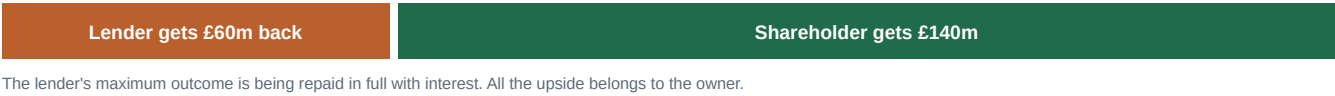
If you take one thing from this document, take this. Private credit and private equity are constantly mentioned together, and they are close to opposites in what they promise.

Imagine a company worth £100m, funded with £60m of borrowed money and £40m of shareholders' money. Now ask what each side gets in three different futures.

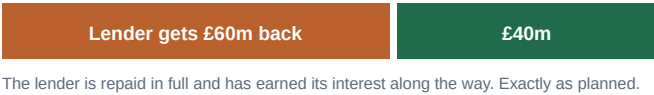
FIGURE 2 · THE SAME COMPANY, THREE FUTURES

£60m of debt, £40m of equity. What each side receives.

The business does brilliantly. It is now worth £200m.



The business is flat. Still worth £100m.



The business struggles. It is now worth £50m.



Illustrative worked example using round numbers. Not drawn from any particular company. Author's construction.

Figure 2. Debt and equity payoffs. Illustrative.

THE CONSEQUENCE, STATED PROPERLY

Lending has a **capped upside and a protected downside**. Owning has an unlimited upside and is first in line for losses. So the two disciplines are completely different jobs:

- A private **equity** investor asks "how good could this get?" They need a few investments to be spectacular, because most will be ordinary.
- A private **credit** investor asks "what could go wrong, and do I still get paid?" They need almost every loan to perform, because no loan can ever return more than it promised. One total loss can wipe out the margin on twenty good loans.

That asymmetry explains almost everything about how credit people behave: the obsession with downside cases, with collateral, with covenants, and with what the business is worth if it has to be sold in a hurry.

THE SENTENCE TO REMEMBER

Equity investors are paid to be right. Credit investors are paid not to be wrong. If you can explain why that sentence is true using Figure 2, you understand the asset class better than most people who mention it.

1.3 The four things that make a loan "private"

Four attributes travel together. Each one has a benefit and a cost, and the pairs are the reason every argument about this asset class exists.

Attribute	What it means	What it buys	What it costs
Bilaterally negotiated	The lender and borrower agree terms face to face, rather than terms being set by a market.	Tailored structures, real covenants, and a lender who knows the business.	Slower, and it only works at a size one lender can handle.
Not traded	No exchange, no screen, no daily price.	No forced selling in a panic. The lender can hold through volatility.	Nobody knows what it is really worth. Value is an estimate. See Part 5.5.
Held to maturity	The fund intends to hold the loan until repayment.	Income is predictable and contractual.	The investor's money is locked up, which is the origin of every liquidity problem in Part 9.
Usually floating rate	Interest resets with a reference rate such as SOFR or SONIA, rather than being fixed.	When rates rise, income rises. Little interest-rate risk for the lender.	When rates rise, the <i>borrower's</i> costs rise too, exactly when conditions may be hardest.

THE ONE TO SIT WITH

Row two is the important one, and the one where the honest and the marketing answers diverge.

Being untraded genuinely protects a lender from being forced to sell at a bad price. It also means the reported value of the portfolio is produced by the same firm that is paid on the basis of it. Both things are true at once. Someone who only says the first is selling. Someone who only says the second is not paying attention. Part 5.5 works through the mechanics properly.

CHECK YOURSELF BEFORE MOVING ON

If you can answer these three without looking back, Parts 2 to 5 will be straightforward.

1. What does a lender get if the borrower's business doubles in value?
2. Why is the absence of a daily price both a feature and a problem?
3. Why does rising interest rates help a private credit fund's income and hurt its borrowers at the same time?

PART 2

Where it came from, and why

Private credit did not appear because someone invented a clever product. It appeared because regulation made banks bad owners of certain loans, and the loans had to go somewhere. That sentence is the honest version, and it has a benign reading and a critical one.

2.1 The prehistory

Lending privately is not new. Three strands ran for decades before anyone used the phrase.

- **Insurance private placements.** Life insurers have bought privately negotiated corporate debt since the middle of the twentieth century. They have long-dated liabilities and no need to trade, which makes them natural holders of loans that never trade. This is the oldest form of the idea, and Part 8.1 shows it returning in force.
- **Mezzanine funds, 1980s and 1990s.** Funds lending the risky layer between bank debt and equity in buyouts. The first recognisably modern private credit strategy.
- **The BDC.** The **Small Business Investment Incentive Act of 1980**, signed on **21 October 1980**, created the business development company: a vehicle designed to channel capital to smaller American companies^[P4] **Confirmed**. A BDC must distribute most of its income and faces statutory limits on borrowing. That structure, forty-five years old, is the wrapper inside which much of today's retail private credit sits.

ONE CHANGE THAT MATTERED MORE THAN IT SOUNDS

The **Small Business Credit Availability Act**, signed **23 March 2018**, relaxed BDC leverage limits from 1:1 to 2:1, by lowering the required asset coverage from 200% to 150%^[P5] **Confirmed**.

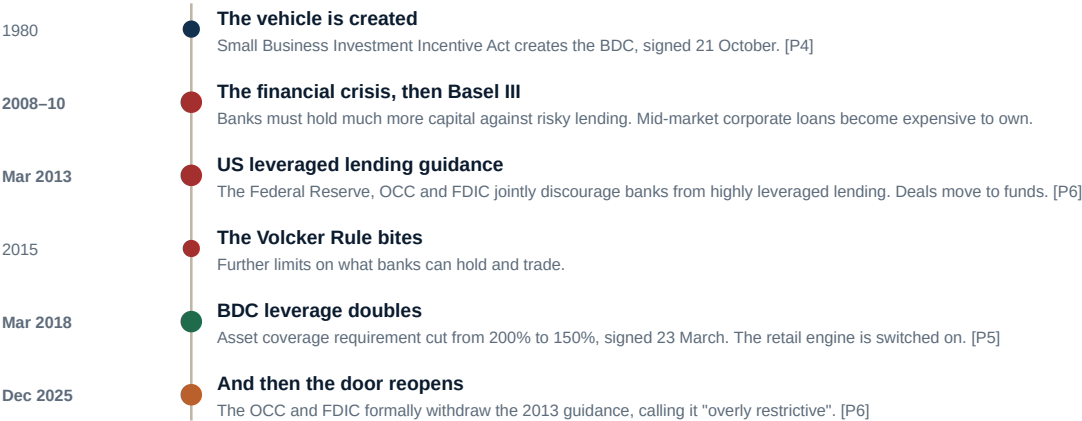
In plain English: a BDC could suddenly borrow twice as much against the same investor equity. That doubles the loans a given pool of capital can make, and it multiplies both returns and risk. Much of the growth in retail-facing private credit after 2018 rests on this one statutory change, and very few people mentioning "the growth of private credit" know it happened.

2.2 The real origin: banks walked away

After 2008, regulators made banks hold far more capital against risky loans. That made mid-sized corporate lending a poor use of a bank's balance sheet. The demand for loans did not disappear, so the supply moved.

FIGURE 4 · HOW THE SPACE WAS CREATED

Four regulatory forces, one consequence



The irony worth noticing, and worth raising in an interview
Private credit grew into a gap that regulation created. In December 2025 the regulators removed part of that barrier. The banks may now want the business back, which is one reason Part 8.2 is about partnership rather than war.

Figure 4. The regulatory origins. Dates **Confirmed** from primary sources; the causal framing is the author's **Inferred**.

Why the loans moved, in one paragraph

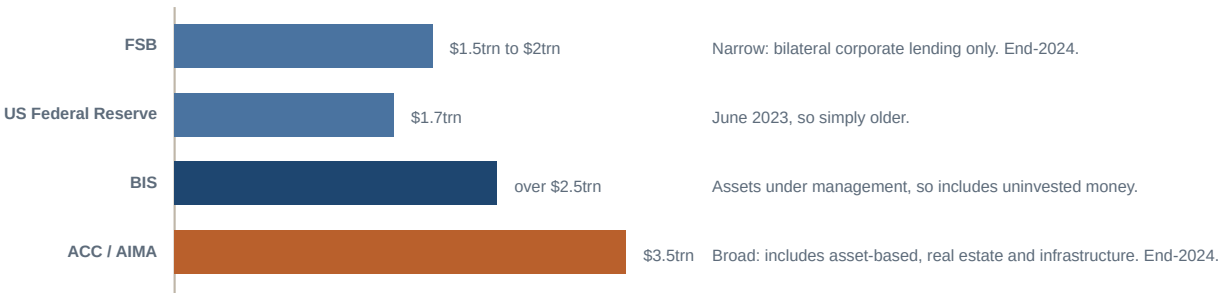
A bank funds itself largely with deposits, which can be withdrawn at any time, and it must hold regulatory capital against the risk of its loans. A credit fund funds itself with money committed for years and holds no regulatory capital in the banking sense. For a loan that will not be sold and may be volatile in value, the fund is the structurally better owner: it cannot be forced to sell by a run, and it is not penalised for holding risk. That is the benign argument, and it is genuinely strong **Inferred**.

2.3 How big it is, and why nobody agrees

You will see private credit described as a \$1.5 trillion market and as a \$3.5 trillion market in the same week. Both figures are honest. Understanding why is a genuine signal of competence.

FIGURE 5 · FOUR CREDIBLE ESTIMATES THAT DO NOT AGREE

Estimates of the size of private credit, and what each one is actually counting



Three reasons the numbers differ, none of them dishonest
1 · Scope: does "private credit" include property, infrastructure and asset-based lending, or only loans to companies?
2 · Assets under management versus money actually lent out. The gap is dry powder. 3 · Different dates, in a market growing fast.

Figures per [P7]-[P10]. FSB and BIS figures read from primary documents; others as marked in the source table. Bar lengths are to scale within this chart only.

Figure 5. Why market-size figures disagree. Mixed **Confirmed** and **Reported**.

HOW TO TALK ABOUT THE SIZE WITHOUT BEING WRONG

Never give one number flatly. Say: "estimates run from roughly \$1.5 trillion on a narrow definition of corporate lending to about \$3.5 trillion if you include asset-based, real estate and infrastructure credit, and part of the spread is dry powder that has not been lent yet." That is accurate, it shows you know the definitions are contested, and it is far more impressive than a confident single figure.

On direction of travel, Moody's has projected roughly **\$4 trillion by 2030**^[P11] **Reported** . Attribute forecasts to whoever made them.

2.4 The zero-rate era, and what its end revealed

For a decade after 2008, interest rates were near zero and investors could not find yield in bonds. Private credit offered more, and money poured in. Then rates rose sharply from 2022, and because these loans are mostly **floating rate**, two things happened at once:

- **Lenders' income rose automatically.** Yields went up without the lender doing anything. Returns looked excellent.
- **Borrowers' interest bills rose by exactly the same amount.** The companies had been leveraged on the assumption of cheap money.

The data shows the strain. The share of middle-market borrowers in one dataset unable to cover interest, tax and working capital from their own cash rose from roughly **25% to 30% in 2021 to a peak near 45% in 2023**, easing somewhat through 2025^[P12] **Confirmed** . Over the same period, headline borrowing rose from about four times earnings to five or six times, and closer to seven once earnings adjustments are stripped out^[P12] .

THE THING TO UNDERSTAND ABOUT FLOATING RATE

"Floating rate protects you from interest rate risk" is true for the lender and only for the lender. The risk does not vanish. It converts from *interest rate risk* into *credit risk*, because the borrower now has a bigger bill. A lender who says floating rate makes the loan safe has moved the risk rather than removed it, and noticing that is one of the more genuinely analytical observations available in this asset class.

2.5 So why does it exist? Both answers

THE BENIGN ANSWER

Bank regulation is designed for institutions funded by deposits that can run. Long-term illiquid loans are a bad match for that funding and a good match for pension and insurance money that has no need to sell. Moving those loans from banks to funds puts risk where it can be held patiently, and gets mid-sized companies financed that banks abandoned. The system is safer, not less safe, because the holder cannot be run on.

THE CRITICAL ANSWER

Nothing about the loans changed. The same credit risk moved from an institution that is supervised, capitalised and stress-tested to one that is none of those things, and which is often financed by the very banks the risk supposedly left. Regulators cannot see it properly, valuations are self-reported, and the growth happened in a period of unusually low defaults. This is regulatory arbitrage with a better story attached.

Both are serious. The most defensible position is that the benign account is largely right about the *structure* and the critical account is largely right about the *visibility*: patient capital really is a better owner of illiquid loans, and regulators really cannot see what they would need to see to know whether it has been done prudently. Part 9 tests that **Inferred** .

PART 3

The strategy map

"Private credit" covers a dozen different businesses with different risks and different returns. Knowing the map is the fastest way to stop sounding like someone who read one article.

3.1 The core: corporate direct lending

This is what most people mean by private credit, and it is where most of the money is. A fund lends to an operating company, usually senior secured, usually floating rate, usually held to maturity.

One structural fact worth carrying: a law firm's review of the loans it documented found that **86% were first lien or unitranche**^[P51] **Confirmed**. Private credit is overwhelmingly a senior secured business, not an exotic one. That matters when you meet the caricature of private credit as reckless.

3.2 The full map

Strategy	What it is	Where it sits	Notes
Senior direct lending	First-lien loans to companies, secured on their assets.	Top of the stack, lowest risk	The core. Around S+450 to 500 in 2026 ^[P61] .
Unitranche	One blended loan replacing separate senior and junior tranches.	Blended	The signature instrument. See 4.2.
Second lien	Secured on the same collateral but paid after first lien.	Below senior	Shrunk as unitranche took over.
Mezzanine	Subordinated debt, often with warrants or equity attached.	Just above equity	The original private credit strategy, from the 1980s.
Distressed debt	Buying debt of troubled companies at a discount, often to take control.	Anywhere	A different discipline: you are buying a problem deliberately.
Special situations	Complex, event-driven or stressed financings that fit no standard box.	Varies	Higher return, needs restructuring skill.
Asset-based finance also called specialty finance	Lending against specific assets or cash flows rather than a whole company: receivables, equipment, royalties, aircraft, consumer loans, litigation claims, music rights.	Secured on the asset	The fastest-growing area. A 2026 industry survey of over 380 professionals found 66% named it the top growth driver ^[P52] Confirmed .
Fund finance	Lending to funds rather than to companies: subscription lines against investor commitments, and NAV loans against a portfolio.	Varies	A market estimated at \$1.25trn to \$1.75trn, of which about 82% is subscription lines ^[P54] Reported .
NAV lending	A loan to a private equity fund secured on its whole portfolio of companies.	Fund level	Controversial. See the box below. Priced around SOFR + 300 to 600.
Venture debt	Lending to young, loss-making companies alongside venture capital.	Senior but risky	Repayment depends on the next equity round, not on profits.

Strategy	What it is	Where it sits	Notes
Real estate debt	Lending against property.	Secured on buildings	Non-bank lenders were 40% of non-agency US commercial real estate closings in Q4 2025 ^[P61] Confirmed .
Infrastructure debt	Lending against long-life assets: utilities, transport, digital infrastructure.	Senior, long-dated	Still bank-dominated: roughly 80% bank, 20% capital markets ^[P59] .
Significant risk transfer SRT	A bank keeps its loans but buys protection on the first losses, transferring risk to an investor.	Synthetic	See 3.4. Growing very fast.

WHY NAV LENDING ATTRACTS CRITICISM

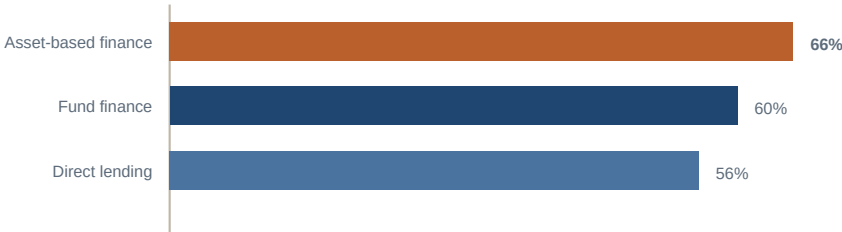
A NAV loan is secured against a private equity fund's whole portfolio. Funds have used them to return cash to investors when they cannot sell companies. The objection: investors receive a distribution that looks like a realisation but is actually borrowed money, secured on assets they still own, adding leverage on top of leverage already inside each company.

Defenders say it is ordinary portfolio financing and often cheaper than selling a good asset into a bad market. The market is estimated at around \$150bn with vendor projections of \$600bn to \$700bn by 2030^[P55] **Reported**. If you want one topic that marks you out as reading past the headlines, this is a strong candidate.

3.3 Where the growth actually is

FIGURE 3 · WHAT PRACTITIONERS EXPECT TO GROW

Survey of more than 380 private credit professionals, June 2026: named top growth drivers



83% of the same respondents expected their assets under management to grow.

The point a beginner should take: the industry itself no longer thinks corporate direct lending is the growth story. Lending against assets and lending to funds are expected to grow faster. If you say "private credit means lending to companies", you are describing 2018.

Compass 2026 survey conducted by Oxane Partners, reported June 2026 [P52, Confirmed, fetched]. A practitioner survey, so it measures expectation rather than outcome.

Figure 3. Expected growth areas. **Confirmed** survey data.

3.4 Significant risk transfer, briefly

Worth understanding because it is the clearest example of banks and private credit becoming partners rather than rivals. A bank keeps a portfolio of loans on its balance sheet but buys protection against the first slice of losses from an investor. The bank keeps the customer relationship and frees up regulatory capital; the investor earns a high return for taking concentrated first-loss risk.

€800bn of loans protected by SRT outstanding at end-2024, around 2% or less of covered banks' total loans ^[P60]	€5bn → €21bn Annual SRT issuance, 2016 to 2024 ^[P60] Confirmed	~43 bps Average core capital relief a bank obtains ^[P60]
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More than €1.3 trillion of loan default risk has been transferred this way since 2016, with around a third of that in the last two years alone^[P62] **Confirmed**.

THE QUESTION THIS RAISES, WHICH YOU SHOULD HOLD A VIEW ON

If a bank keeps a loan but sells the first losses to a credit fund, has risk genuinely left the banking system, or has it simply been moved somewhere with less visibility and then partly financed by banks again? Regulators ask this in every report on the subject. There is a reasonable answer on both sides, and Part 9 sets them out.

PART 4

How a deal actually works

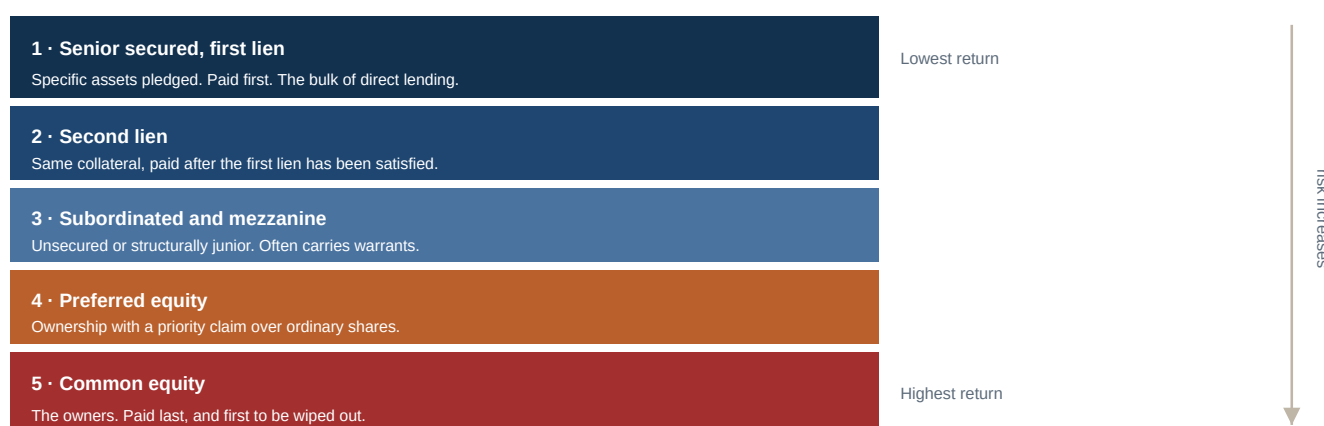
The capital structure, where the yield comes from, what covenants do, and the life of a loan from first meeting to repayment. This is the part that makes you sound like someone who has looked at a term sheet.

4.1 The capital structure, and what "senior secured" buys you

Every company funded with a mix of debt and equity has an order of repayment. If things go wrong, money is distributed strictly down the ladder. Nobody on a lower rung gets anything until the rung above is paid in full.

FIGURE 6 · THE LADDER

Who gets paid first, and what each rung is compensated with



"Secured" means specific assets are pledged. "Senior" means you are ahead in the queue. They are different things and a loan can be one without the other. Recovery is what you actually get back after a default. It is a function of where you sit on this ladder and what the assets are really worth.

Figure 6. The capital structure. Standard definitions, author's arrangement.

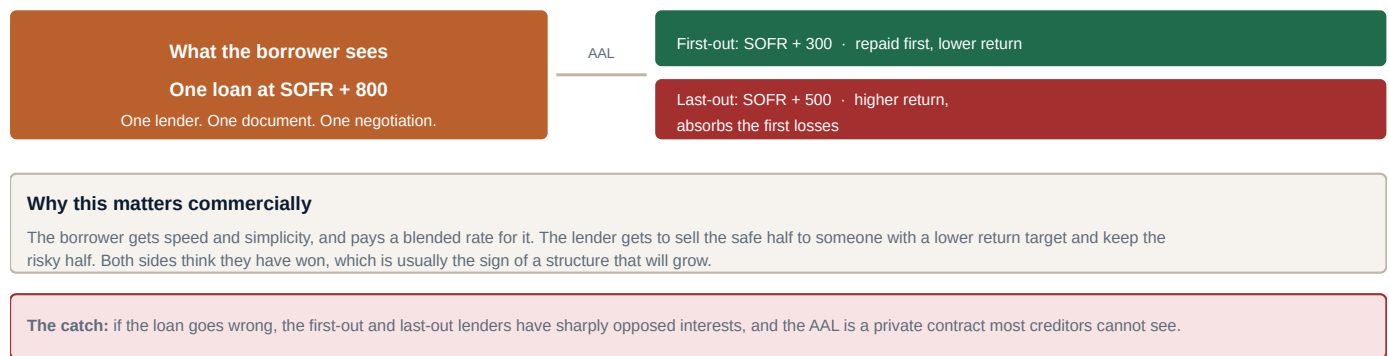
4.2 Unitranche, the signature instrument

Instead of a company arranging a senior loan from one lender and a junior loan from another, with two sets of documents and an inter-creditor fight waiting to happen, a single lender provides **one loan at one blended rate**.

Behind the scenes, the lenders privately divide it through an **agreement among lenders**, or AAL. One group takes the safer "first-out" piece at a lower rate; another takes the "last-out" piece at a higher rate and absorbs losses first. **The borrower never sees this**, and deals with one counterparty.

FIGURE 7 · ONE LOAN TO THE BORROWER, TWO RISKS BEHIND IT

A worked example of how a blended coupon is split



Illustrative split per [P50, Confirmed, law firm commentary]. The specific basis points are an example, not a market average.

Figure 7. Unitranche mechanics. Example **Confirmed** from legal commentary.

4.3 Where the yield comes from

A private credit yield is assembled from parts. Knowing the parts is how you answer "why does it pay more than a bond?" without hand-waving.

Component	Typical, 2026	What it is
Reference rate	SOFR around 3.6% ^[P63]	The floating base. Moves with central bank policy. The lender takes no view on it.
Credit spread	S+450 to 500 ^[P61]	The compensation for the risk of not being repaid. This is the part the lender is paid to judge.
Original issue discount	1 to 2 points	Lending 98 for a loan that repays 100. Adds return at the front.
Fees	Varies	Arrangement, commitment and amendment fees.
All-in	8.5% to 9.5% ^[P61] Confirmed	On senior corporate direct lending in 2026, at leverage of around 5 to 6 times earnings.

THE SPREAD CYCLE, WHICH TELLS YOU HOW COMPETITIVE THE MARKET IS

Spreads on direct lending moved from roughly **S+600 to 650 in 2022-23**, down to about **S+475 by early 2026**, then back out to around **S+502 by August 2026**^[P301] **Reported**.

Read that as a story. Spreads fell because too much money chased too few deals: competition, not improving credit. Then they widened again in 2026, and the reported cause was *not* deteriorating borrowers but redemption pressure on the evergreen vehicles described in Part 8.3. That is an unusual and interesting mechanism: the price of corporate loans moved because of the behaviour of retail investors in the funds that hold them.

4.4 Covenants, and the argument about them

A **maintenance covenant** requires a borrower to keep meeting a financial test, typically quarterly. If it fails, the lender gets a seat at the table early, while there is still value to protect. An **incurrence covenant** only bites when the company actively does something, such as raising more debt.

Private credit's standard claim is that it kept maintenance covenants while the syndicated market abandoned them. The evidence says: **true at the smaller end, eroding at the larger end**. Covenant retention is reported at around **98% in the lower middle market**,

while covenant-lite packages reach as much as **93% of larger private credit loans**^[P66] **Reported** .

It matters financially. Lenders with maintenance covenants have been found to recover roughly **10 percentage points more** than lenders who can only act once a payment is actually missed^[P67] **Reported** .

THE ADD-BACK PROBLEM, WHICH IS WHERE THE REAL LEVERAGE HIDES

Loan size is set as a multiple of EBITDA, a measure of earnings. But EBITDA is *negotiated*. Borrowers argue for "add-backs": costs they say are one-off or will disappear.

One study of 2022-vintage loans found add-backs equal to more than **29% of projected EBITDA** and around **55% of the earnings actually reported over the last twelve months**. The same body of work found **95% of deals from 2015 to 2020 missed their first-year earnings projections**^[P68] **Reported** .

Read that carefully. If earnings are overstated by half, then a loan described as five times earnings may really be seven times. This is the single most important thing to understand about why headline leverage figures understate risk, and it is why lenders now try to cap add-backs at around 25% of earnings^[P68].

PIK: the early warning

Payment in kind means the borrower pays interest by adding to the loan balance rather than in cash. It is legitimate flexibility for a growing company and a red flag when it spreads across a portfolio, because it means cash is not being generated.

The share of BDC loans with a PIK feature rose from about **5.4% in early 2022 to 9.8% by early 2026**^[P69] **Reported** . Research cited in the same material links amendment-driven PIK to a one to two percentage point increase in the probability of delinquency in the following quarter, against a base rate of roughly 3%^[P69].

4.5 The life of a loan

1 SOURCING

A private equity sponsor buying a company asks several lenders to bid. Around 70% or more of direct lending is sponsor-backed^[P70], because the sponsor brings deal flow, equity underneath the loan, and a repeat relationship.

2 SCREENING AND DILIGENCE

Typically three to six weeks^[P71]. Financial, commercial, legal. The lender gets access to information no public bond investor ever sees, which is one of the genuine advantages of the format.

3 CREDIT COMMITTEE

The internal approval body. The decision-making heart of the firm, and where a credit culture is actually visible.

4 TERM SHEET AND DOCUMENTATION

Pricing, leverage, covenants, add-back definitions, delayed draw commitments. Every argument in 4.4 is settled here, in writing.

5 FUNDING AND MONITORING

The loan is drawn. Then quarterly reporting, covenant testing, and regular contact with management. Maturities are typically five to seven years, though loans are often refinanced after three or four^[P72].

6 AMENDMENT, OR TROUBLE

Most stress is resolved by negotiation: a waiver, a maturity extension, a switch to PIK, an equity injection from the sponsor. Refinancings were about 28% of all direct lending activity in 2025^[P73].

7 EXIT, OR RESTRUCTURING

Repayment or refinancing in the good case. In the bad case, a restructuring in which lenders may take ownership of the business. Part 9 has a real example where exactly that happened.

THE DETAIL THAT SHOWS YOU UNDERSTAND THE JOB

Most of the work in private credit is not choosing loans. It is the monitoring and the amendments: the quarterly call, the covenant test, the waiver negotiation. A public bond investor who dislikes a company sells it. A private lender cannot sell, so the only available action is to **engage**. That is why these firms employ restructuring specialists, and why "workout capability" is a genuine differentiator rather than marketing.

PART 5

Follow the money

How the manager gets paid, how the investor gets paid, what the returns have actually been, what the losses have actually been, and the valuation problem that sits underneath all of it.

5.1 How the manager gets paid

Here are real fee terms, taken from a filed investment advisory agreement of one of the largest listed BDCs. Read the structure rather than the numbers, because the structure is the same across the industry.

FIGURE 8 · A REAL FEE STRUCTURE, FROM THE FILINGS

Ares Capital Corporation, as disclosed in its investment advisory agreement

1 · Base management fee — 1.50% on GROSS assets

Stepping down to 1.00% on assets above 200% of net asset value. Charged whether or not the fund makes money. "Gross" is the word that matters. See the box below.

2 · The hurdle — 1.75% per quarter, about 7% a year

The manager earns no income incentive fee until the fund clears this return.

3 · The catch-up — 100% of returns between the hurdle and 2.1875% per quarter

Once the hurdle is cleared, the manager takes everything in this band, until it has "caught up" to its full share.

4 · Income incentive fee — 20%

Of income above the catch-up.

5 · Capital gains fee — 20%

Of realised gains, net of losses.

Fee terms read directly from the filed advisory agreement [P100, Confirmed, SEC EDGAR]. Quoted as an illustration of structure, not as a recommendation or comparison.

Figure 8. A real BDC fee stack. **Confirmed** from filings.

THE ONE WORD THAT CHANGES EVERYTHING: "GROSS"

A management fee charged on **gross assets** rather than net assets means the manager is paid on borrowed money too. If a fund has £100 of investor equity and borrows £100, it holds £200 of gross assets, so a 1.5% fee on gross assets is effectively 3% of the investor's own money.

Now recall from Part 2.1 that the permitted leverage for a BDC was doubled in March 2018. A structure that lets the manager be paid on borrowed assets, combined with a statutory change that doubled how much could be borrowed, is a powerful incentive. That is not an accusation against any particular firm. It is a feature of the structure that an investor should understand, and it is exactly the sort of thing a client will ask a product specialist about.

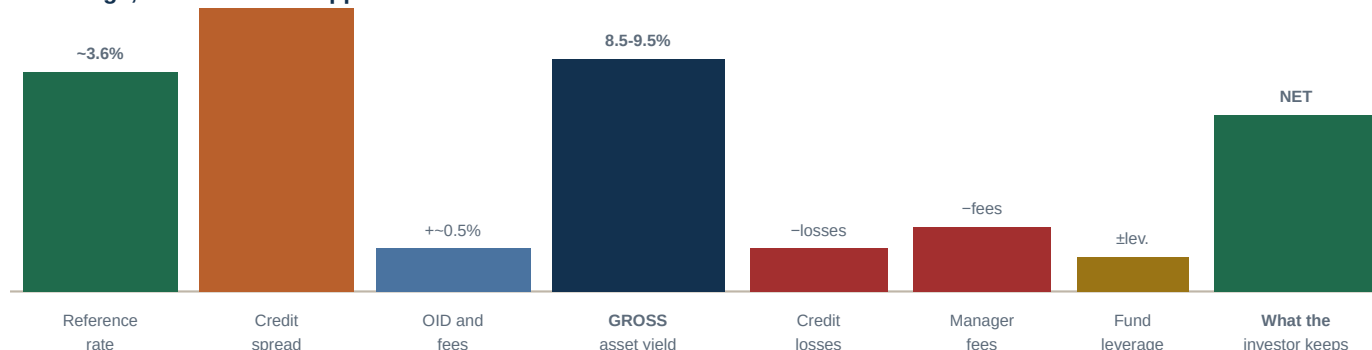
Note also that fee terms do move in the investor's favour under competition. One large BDC cut its incentive fee from 20% to 17.5% in an amended agreement in 2021^[P101] **Confirmed**.

5.2 How the investor gets paid

The single most important difference from private equity: the return is **contractual income**, not capital appreciation. You are not waiting for an exit. You are collecting interest.

FIGURE 9 · FROM GROSS YIELD TO WHAT THE INVESTOR KEEPS

The bridge, in the order it happens



The two questions to ask about any private credit return figure: is it gross or net, and does it include fund leverage?

Those two questions separate people who understand the asset class from people who have read a brochure. Bar heights here are illustrative, not to scale.

Figure 9. The return bridge. Components sourced in 4.3; the bridge as a whole is **Inferred**.

5.3 What the returns have actually been

The most widely used benchmark is the Cliffwater Direct Lending Index.

9.3%

Index return for 2025^[P110] **Reported**

9.5%

Twenty-year average annual return^[P110]

13 of 20

Years in which it beat public high yield, to 2024^[P110]

Cumulative loss rates over twenty years have been reported at **1.01% for direct lending against 1.49% for high yield**^[P110] **Reported**. On that record the asset class has done what it claimed: more income, fewer losses.

Two caveats that belong in the same breath. **Manager dispersion is very wide**, reported at three times or more the spread between good and bad managers in public credit^[P111]. And index returns are reported before an investor's own fund fees. Choosing the manager matters far more here than in an index-tracking world.

5.4 Losses: where the numbers stop agreeing

Ask four providers for the private credit default rate and you get four answers.

Source	Default rate	Note
KBRA	3.4% / 2.0% ^[P115]	Q4 2025, on its middle-market dataset. Confirmed
Lincoln International	2.4% rising to 2.9% ^[P116]	Covenant defaults specifically.
Moody's	1.6% to 4.7% ^[P117]	Range across 2025. 65% of those defaults were distressed restructurings rather than missed payments. Confirmed
Fitch	5.7% to 9.2% ^[P118]	Across different releases. Far higher, because it counts differently.

The spread is not incompetence. Each provider defines "default" differently and covers a different universe.

WHY THE HEADLINE DEFAULT RATE UNDERSTATES THE STRAIN

A loan only shows up as a default if something forces it to. Three mechanisms keep loans out of the statistics:

- **Amend and extend.** Push out the maturity and the loan never matures into a default.
- **Switching to PIK.** The borrower stops paying cash interest, but by agreement, so nothing is missed. PIK-featured loans rose from 5.4% to 9.8% of BDC loans between 2022 and 2026^[P69].
- **Covenant waivers.** The test is failed, and the lender agrees to look away.

Analysts estimate a "shadow default" rate of around **6%** once these are counted^[P119] **Reported**. That Moody's finding above, that 65% of defaults were distressed restructurings rather than missed payments, is the same phenomenon visible in the official data.

The recovery finding that deserves more attention than it gets

FIGURE 10 · WHAT LENDERS ACTUALLY GOT BACK

Recovery rates on defaulted debt, per US Federal Reserve research published 2024



Why this is uncomfortable for the standard pitch

Private credit is sold partly on being senior and secured, which should mean recovering MORE than a syndicated loan. This research found it recovered less. Older industry estimates had put private credit recovery near 69%. If the Fed's figure holds, a central plank of the marketing needs revisiting. [P120, Reported]

Figure 10. Recovery rates. **Reported** from Federal Reserve research; treat as one study, not settled fact.

5.5 Valuation: the hardest problem in the asset class

There is no market price. So the value of a loan is an estimate, produced by a firm that is paid on the basis of that estimate. Everyone in the industry knows this. Very few explanations of private credit say it plainly.

The FCA reviewed valuation practices across **36 firms managing around £3 trillion** and published its findings in **March 2025**, identifying weaknesses in governance and in the management of conflicts of interest, and listing seven distinct channels through which conflicts can arise^[P125] **Confirmed**.

THE MOST CONCRETE EVIDENCE AVAILABLE, AND THE BEST THING IN THIS DOCUMENT TO REMEMBER

Analysis of BDC holdings found the **same loan to the same company, in the same quarter, carried at materially different values by different funds**^[P126] **Confirmed**.

In one documented case, a loan to **Lithium Technologies** was marked at **50 cents, 53 cents and 77 cents** on the dollar by three different BDCs in the same quarter. That is a **27-point spread** on an identical instrument. Similar divergences were documented for Pluralsight, Auvon Therapeutics, Isagenix and Allucent^[P126].

Nobody is necessarily doing anything wrong. Valuation of an untraded loan involves judgement, and reasonable people differ. But it is the clearest possible demonstration that "net asset value" in private credit is an opinion, not an observation. If you remember one fact from this entire document, make it this one.

The "volatility laundering" argument

Because values are estimated rather than observed, reported returns are smoother than the underlying reality. Cliff Asness of AQR has argued that this smoothness is itself part of the product's appeal, and coined the phrase **volatility laundering** for it^[P130] **Confirmed**. His provocative point is that investors may be paying for the *appearance* of stability.

Academic work attempting to correct for the smoothing found the direct lending index's true volatility understated by roughly **26%**, which lowered its risk-adjusted return measure from about **1.39 to 1.03**^[P131] **Reported**. Notably, the same analysis concluded the distortion is *smaller* than in private equity.

WHERE A THOUGHTFUL PERSON LANDS

The honest synthesis: the returns have been real and the losses genuinely modest, but the *risk* has been understated because the price is not observed. An investor who is genuinely long-term may not care, since they were never going to sell at the bottom anyway. An investor who might need their money back, or who is using reported volatility to size their allocation, very much should care.

That distinction between the investor who can hold and the investor who might have to sell is the thread connecting Part 5 to Part 8.3 and Part 9. It is the most important idea in this document.

PART 6

Why it works for each of the three sides

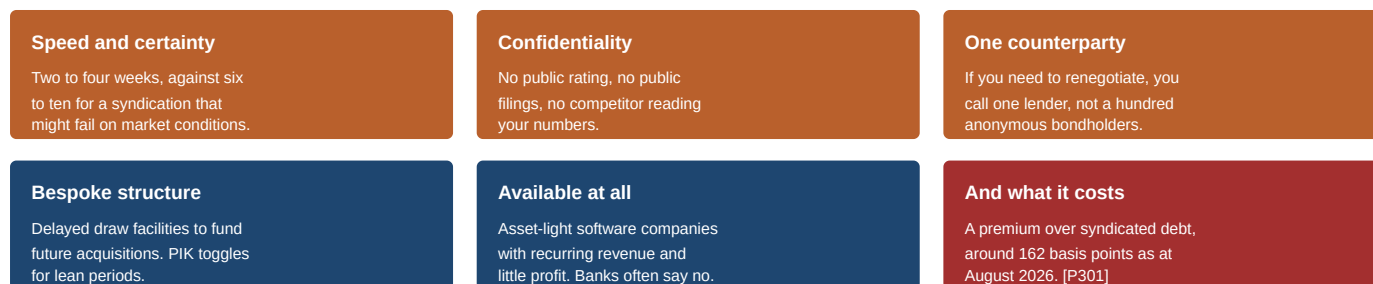
A market only survives if everyone in it is getting something. Here is what each of the three parties actually gets, and what each gives up. The borrower's side is the one most explanations skip, and it is the one that shows you have thought about it.

6.1 For the investor

What they get	Why	The cost
Higher income	An all-in yield of roughly 8.5% to 9.5% on senior loans in 2026 ^[P61] , against much less on comparable public debt.	Some of the premium is payment for illiquidity and complexity. Some may be payment for not seeing the price. Part 5.5.
Income rather than hope	Returns arrive as contractual interest, quarterly, from year one. No waiting for an exit.	The upside is capped. No loan ever repays more than it promised.
Floating rate protection	Income rises with interest rates, so inflation and rate risk are largely neutralised for the lender.	The borrower's bill rises at the same moment. The risk converts rather than disappears.
Reported stability	Values move smoothly because they are estimated, not traded.	Precisely what the "volatility laundering" critique targets. The smoothness may be an artefact.
Genuine seniority	Around 86% of documented deals are first lien or unitranche ^[P51] . There is equity beneath you absorbing the first losses.	Recovery when things do go wrong has been measured lower than for syndicated loans. Figure 10.

6.2 For the borrowing company

This is the half of the argument that gets left out, and it is the half that explains why the asset class kept growing even when cheaper money was available elsewhere.

FIGURE 11 · WHY A COMPANY PAYS MORE ON PURPOSE**What a borrower buys with the extra cost****The mental model: the borrower is buying insurance against deal failure**

A private equity firm bidding for a company cannot afford financing that might evaporate. It will pay a premium for a commitment that is certain. That premium is not irrational, and it is why private credit wins deals even when syndicated debt is visibly cheaper on the day.

Timings and the spread premium per [P300][P301], Reported. Structural advantages corroborated across legal and advisory commentary. Compiled 19 September 2026.

Figure 11. The borrower's calculation. **Reported**.

THE COMPETITION RUNS BOTH WAYS, WHICH IS WORTH KNOWING

The simple story is "private credit is eating the syndicated loan market". The data says it is a back-and-forth. In 2025, **63% of US leveraged buyouts above \$1bn were financed in the syndicated market, up from 39% in 2023**^[P62] **Confirmed**. The syndicated market reopened, repriced, and won large deals back.

Deals move in both directions. Named borrowers have refinanced out of private credit into cheaper syndicated debt, and others have moved the other way^[P302]. Anyone who tells you this is a one-way disruption has not looked at 2025.

Does it help the real economy?

Evidence for: academic work has found that access to BDC financing causally raises borrower employment growth and patenting^[P303] **Reported**. In the UK, the state-backed British Business Bank has itself committed capital to private credit funds explicitly to fill a mid-market financing gap^[P304] **Confirmed**. That is a government agency agreeing the gap is real.

Evidence against: private credit enables higher leverage in buyouts, which transfers risk to employees and other creditors. And amend-and-extend may keep companies alive that should be restructured, the "zombie" critique, with the rise in PIK from 5.4% to 9.8% of loans as circumstantial support^[P69].

6.3 For the firm doing the lending

Why has every large asset manager rushed into this? Follow the economics from Part 5.1.

- **Fees are far higher than in public markets.** A management fee on gross assets plus a 20% incentive fee, against perhaps 50 basis points on a public bond fund.
- **The capital is locked up.** A closed-end fund's investors cannot leave, so fee income is contracted for years. In a business where public-market fees are compressing, that predictability is worth enormous amounts.
- **It scales.** Once the origination team exists, lending more money does not require proportionally more people.
- **It is defensible.** Origination relationships and workout capability are genuinely hard to copy, in a way that buying an index is not.

THE HONEST FRAMING OF THE MANAGER'S INCENTIVE

Every structural feature that makes private credit attractive to a manager also creates a tension with the investor. Fees on gross assets reward leverage. Fees on committed capital reward raising money over deploying it well. Self-reported valuations feed the fee calculation. Locked-up capital means an unhappy investor cannot easily leave.

None of this implies bad faith, and the industry has produced real returns. But if you want one question that demonstrates you are thinking rather than reciting, it is: *"what is this manager paid on, and what behaviour does that reward?"* It is the right question to ask about any asset manager, and it is sharper here than almost anywhere else.

PART 7

Who the players are

The firms, what separates them, and where Fidelity International sits, which is not where you might assume.

7.1 The league table

READ THIS BEFORE THE TABLE

These figures are **not like for like**. Firms define "private credit assets" differently, report on different dates, and some quote total firm assets rather than credit specifically. Use the table for who the players are and roughly how they rank, never to claim one firm is precisely larger than another^[P150].

Firm	Home	What they are known for
Apollo	US	The most aggressive insurance strategy. Owns the annuity writer Athene, which gives it permanent balance-sheet capital rather than only fee income. See 8.1.
Ares	US	One of the largest and longest-established direct lenders. Its listed BDC is a benchmark for the industry.
Blackstone Credit & Insurance	US	Scale. Its non-traded BDC, BCRED, is the largest vehicle of its kind.
Blue Owl	US	Built on permanent capital and the wealth channel. Also the firm at the centre of the 2026 redemption episode in Part 8.3.
HPS, now part of BlackRock	US	Bought by BlackRock in a deal announced 3 December 2024 and completed 1 July 2025 , reported at around \$12bn ^[P151] Confirmed . The signal event of the consolidation wave.
KKR	US	Credit alongside private equity, plus the insurer Global Atlantic. Its K-Series evergreen funds are central to Part 8.3.
Golub, Antares, Sixth Street, Carlyle, Goldman Sachs AM, PGIM, Barings, Bain Capital Credit, Churchill	US	The rest of the large American field. Antares and Golub are middle-market specialists of long standing.
Arcmont, Ares Europe, ICG, Pemberton, Tikehau, Park Square, CVC Credit, Permira Credit, Hayfin, Alcentra, Ardian	Europe	The European field. Smaller than the US market and growing faster from a lower base. ICG and Pemberton are among the most recognisable UK-linked names.

Compiled from firm disclosures and trade coverage^{[P150]-[P160]}. Mixed confidence; definitions and dates vary by firm.

7.2 What actually separates one manager from another

In a market where everyone lends at roughly the same spread against roughly the same companies, four things genuinely differentiate:

1 ORIGINATION

Whether you see the deal at all. Sponsor relationships are the currency, because 70% or more of direct lending is sponsor-backed^[P70]. A firm that sees every deal can decline the bad ones; a firm that sees few must take what it is shown.

2 SCALE

The ability to write a billion-dollar cheque alone is a genuine competitive weapon, because it lets a sponsor do a deal in one conversation. It is also the reason the industry has concentrated.

3 WORKOUT CAPABILITY

You cannot sell a private loan. When a borrower struggles, your only options are to negotiate or to take the keys. Firms with real restructuring teams recover more. This is under-appreciated and hard to copy.

4 PERMANENT CAPITAL

Money that never has to be given back, from an insurance balance sheet or an evergreen vehicle. It removes the pressure to deploy before a fund's investment period expires. See 8.1.

7.3 The consolidation wave

Traditional asset managers, facing fee compression in public markets, have been buying private credit capability rather than building it. BlackRock's purchase of HPS is the landmark, alongside Nuveen and Arcmont, Janus Henderson and Victory Park, T. Rowe Price and Oak Hill, Manulife and CQS, Franklin Templeton and Benefit Street, and Blue Owl's own run of acquisitions^[P152] **Reported**.

The strategic logic is simple. A public equity fund earns perhaps 50 basis points and is losing share to index funds. A private credit fund earns 150 basis points plus incentive fees on capital that cannot leave. If you are a large traditional manager, you either build that capability, buy it, or watch your revenue shrink.

7.4 Where Fidelity International sits, and why it is different

This matters if you are going to say you want to work on private credit at Fidelity, because Fidelity's position is **not** the one most candidates would assume.

THE CONFIRMED FACTS

In **May 2026** Fidelity International launched a **Private Markets Partner Network** of ten external managers feeding its Diversified Private Assets LTAF^[P155] **Confirmed**. The named managers include **Ares, Bridges, Crescent, Churchill, CVC, DigitalBridge, Haveli, Hg and Stonepeak**, alongside Fidelity itself^[P155]. Its FutureWise workplace default was reported at **£25bn** at that point^[P155].

Set that beside the firm's own audited UK accounts, which state a decision to "cease manufacturing of non-core private asset classes in order to pivot resources to areas of unique strength... active ETFs and the distribution of third-party capabilities for both private assets and select public market investments"^[P156] **Confirmed**.

FIGURE 12 · TWO DIFFERENT BUSINESSES THAT BOTH SAY "PRIVATE CREDIT"

The originator model and the allocator model

The originator · Blackstone, Apollo, Ares, Blue Owl	The allocator · Fidelity International
- Finds and structures the loans itself - Employs origination and underwriting teams - Carries the credit decision and the workout - Earns management and incentive fees on its own funds The skill is choosing and managing loans. Risk: your own credit judgement is the product.	- Selects external managers to do the lending - Packages them into a fund it distributes - Carries the manager-selection decision - Earns fees on the wrapper and the distribution The skill is choosing and monitoring managers. Risk: two layers of fees, and less control.
Why this matters to you: at an allocator, the client-facing job is explaining why THESE managers were chosen, not why this loan was made. Different question, same seat.	

Figure 12. Two models. Facts **Confirmed**; the contrast is the author's framing **Inferred**.

HOW TO USE THIS IN AN INTERVIEW, CAREFULLY

Saying "I want to work in private credit at Fidelity" invites the reply "we mostly don't originate it." Saying *"I'm interested in private credit, and I noticed Fidelity's approach is to select external managers through the Partner Network rather than originate directly, which makes the client conversation about manager selection and liquidity terms rather than individual credits"* demonstrates you actually looked.

It is also a genuinely interesting position to defend. An allocator avoids the conflict of marking its own loans, and gets breadth. It also adds a fee layer and gives up control. Both are true, and having a view is better than having a preference.

PART 8

The trends that matter right now

Four things are reshaping this asset class. Two of them get almost no coverage outside the trade press, and one of them is the article you brought.

8.1 Insurance: the quiet revolution

The most important structural story in private credit is not about lending at all. It is about who owns the money. Private credit managers have been buying and partnering with life and annuity insurers.

Manager	Insurer	Nature of the link
Apollo	Athene	Full merger. The most complete version of the model.
KKR	Global Atlantic	Acquired outright.
Brookfield	American Equity Life	Acquired.
Blackstone	Corebridge, Resolution Life and others	Asset management mandates rather than ownership.
Carlyle	Fortitude Re	Partnership and stake.
Sixth Street	Talcott	Acquired.
Ares	Aspida	Built and owned.

Compiled from deal announcements and trade coverage ^{[P161]-[P170]} **Reported**. Structures differ materially between ownership, stakes and mandates.

WHY AN ANNUITY COMPANY IS THE PERFECT PARTNER FOR A PRIVATE LENDER

An annuity is a promise to pay someone an income for decades. So an annuity writer has **long-dated, predictable liabilities** and cannot be run on in the way a bank can. It needs assets that pay a reliable yield over many years and it does not care about daily prices.

That is an almost perfect match for private credit. And it transforms the manager's own business: instead of earning a fee on someone else's money, which can be withdrawn, the firm owns a permanent balance sheet and earns the **spread** between what it pays annuity holders and what its loans yield. Fee income is cyclical. Spread income on permanent capital is not.

If you want to understand why Apollo trades as a different kind of company from a traditional asset manager, this is the reason.

The concern, stated fairly. Insurance regulators have noticed. US state insurance regulators, through the NAIC, published an issue brief on private credit in **April 2026** ^[P171] **Confirmed**, and have been working on capital treatment for structured credit that insurers hold. The worry is straightforward: retirement incomes are now backed by assets whose values are estimated rather than observed, and sometimes by assets originated by an affiliate of the insurer's own owner. That last point, affiliated origination, is the one to watch.

8.2 Banks: from rivals to partners

The standard narrative is that private credit took business from banks. What actually happened next is more interesting: they joined up. Named arrangements include JPMorgan committing balance sheet to direct lending, Citi with Apollo, Wells Fargo with Centerbridge, Barclays with AGL, and Société Générale with Brookfield^[P172] **Reported**.

Banks also lend to private credit funds, through subscription lines, NAV facilities and back leverage. The Financial Stability Board's report of **6 May 2026** put bank lending to private credit funds at around **\$220bn** on member-reported data, against commercial estimates of **\$270bn to \$500bn**, and noted this is **less than 0.5% of bank assets**^[P173] **Confirmed**.

HOLD BOTH HALVES OF THIS

That "less than 0.5% of bank assets" figure is genuinely reassuring about scale, and you should cite it when someone claims private credit is about to break the banking system.

But the FSB's own point is that the exposure is *concentrated* in a handful of large banks and is hard to measure, which is why their own estimate and commercial estimates differ by more than twofold. A risk that is small in aggregate, concentrated in a few places, and imprecisely measured is exactly the shape of risk that surprises people. Both things are true.

8.3 Retailisation, and the inversion you spotted

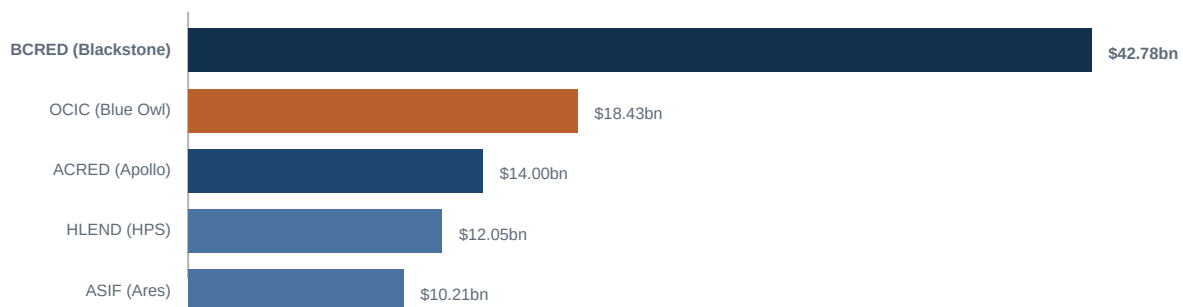
Private credit was built for institutions. It was then packaged for wealthy individuals. And now, in the development you found, institutions are buying the version built for individuals. That is worth understanding properly, because it inverts a forty-year hierarchy.

First, the scale of the retail vehicles

Net assets of the five largest non-traded BDCs as at **30 June 2026**, taken directly from their regulatory filings^[P201] **Confirmed**:

FIGURE 13 · THE WEALTH-CHANNEL VEHICLES

Net assets at 30 June 2026, from regulatory filings



Around \$97bn across these five alone. Net assets, so after fund borrowing. Read from filings [P201, Confirmed]. Compiled 19 September 2026.

Figure 13. The five largest non-traded BDCs. **Confirmed**.

Then the inversion

What is reported: institutional investors have begun allocating to the evergreen vehicles that firms such as Blackstone and KKR built for wealthy individuals. And KKR has raised the share of a deal its affiliated evergreen vehicles may take from a long-standing **7.5% cap to around 20%** in certain cases, including in relation to an \$8bn European fund. Its K-Series private equity evergreen funds have attracted **nearly \$12bn** since launching in 2023, with the wider K-Series suite across strategies reported at roughly **\$32bn to \$35bn**^[P202] **Reported**.

SOURCE UNCERTAIN — ONE DETAIL I COULD NOT STAND BEHIND

Search summaries of the original Financial Times report name the UK's **Universities Superannuation Scheme** as one of the institutions. This research **could not corroborate that in any fetchable reliable source**; the trade outlets that were read in full name no institution, and the only source naming USS is a low-quality blog^[P203]. The FT itself was unreachable.

Treat the USS detail as unverified. The structural claim, that institutions are moving into evergreen vehicles, is well corroborated. The specific name is not. If you want to use it, read the FT piece yourself.

Why institutions would want the "retail" product

This is the part that makes the story analytically interesting rather than merely odd. Four drivers:

- **No capital calls.** In a closed-end fund you commit money and wait to be asked for it, holding cash in the meantime. An evergreen fund is invested from day one.
- **No J-curve.** Closed-end funds show negative early returns because fees are charged before gains arrive. Evergreen credit vehicles pay income immediately.
- **Distributions have slowed.** Private equity has struggled to sell companies, so cash is not coming back. Investors need liquidity from somewhere.
- **The arithmetic of the drag.** Partners Group has published a calculation that a closed-end fund needs roughly a **20% internal rate of return to match an evergreen fund delivering 11%**, once the cost of holding uninvested cash is counted^[P204] **Reported**.

THAT 20% VERSUS 11% FIGURE IS THE BEST SINGLE NUMBER IN THIS SECTION

It comes from a manager with an interest in the answer, so attribute it rather than state it. But it captures the whole argument in one line: a headline IRR on a closed-end fund is not what the investor actually earns, because it ignores the money sitting idle waiting to be called. If you can explain why those two numbers are comparable, you understand something most graduates do not: **the difference between a fund's return and an investor's return.**

And the frontier: pensions and ETFs

- **US retirement accounts.** Executive Order 14330, "Democratizing Access to Alternative Assets for 401(k) Investors", was signed on **7 August 2025**, directing the Department of Labor to re-examine its guidance^[P205] **Confirmed**.
- **The UK.** The Mansion House Accord commits workplace pension providers to private markets allocations, which is how private credit reaches UK savers who never chose it. Part of the reason a firm like Fidelity built an LTAF.
- **The ETF experiment.** A private-credit-containing ETF launched on **26 February 2025**, targeting 10% to 35% in private credit, and held around **\$812m** by **17 September 2026**^[P206] **Confirmed**. Putting untraded assets in a daily-traded wrapper is the most aggressive version of this trend and the most contested.

8.4 Where the growth is going next

Two directions, both already visible in Part 3.

Asset-based finance. Named by 66% of practitioners as the top growth area^[P52]. Lending against receivables, equipment, royalties and consumer loans rather than against a company's earnings. The logic is diversification: these cash flows do not all depend on corporate profits.

AI infrastructure. Private credit has become a major financier of datacentres. Morgan Stanley has projected it supplying around **\$800bn of a \$1.5 trillion financing gap through 2028**^[P107] **Reported**.

THE OBSERVATION THAT TIES PART 8 TOGETHER

Notice what these trends have in common. Insurance capital, evergreen vehicles, workplace pensions and ETFs are all ways of **finding longer-dated or stickier money**, or of **reaching a new kind of investor**. The growth constraint in private credit has not been finding loans. It has been finding capital patient enough to hold them.

Which raises the question the next part is about: what happens when the capital turns out to be less patient than the assets require?

PART 9

The bear case, and the real blow-ups

What the regulators actually say, what the critics actually say, three companies that actually failed, and the strongest version of the defence. Anyone can say "private credit is risky". Naming the mechanism and the case is what separates you.

9.1 Three real failures worth knowing by name

Speaking in generalities about risk is easy. Naming three situations and what each revealed is how you demonstrate you have actually followed this.

First Brands · collapsed 28 September 2025

THE OFF-BALANCE-SHEET LESSON

WHAT HAPPENED

An auto parts supplier collapsed with around **\$11.5bn of debt**, of which roughly **\$5.4bn sat off balance sheet across 112 separate special purpose vehicles**^[P251] **Confirmed**.

WHAT IT REVEALED

Lenders did not know the full extent of the borrowing. Supply-chain and receivables financing sat outside the accounts lenders were analysing. This is not a credit judgement failure, it is a *visibility* failure.

WHY IT MATTERS TO THE ARGUMENT

It is the single strongest piece of evidence for the critics' case: if experienced lenders could miss \$5.4bn of obligations at one borrower, the claim that private lenders have superior information needs qualifying.

Tricolor Holdings

THE FRAUD LESSON

WHAT HAPPENED

A subprime auto lender collapsed after what regulators characterised as **double-pledging** of collateral, meaning the same assets were pledged to more than one lender. The SEC brought charges on **18 August 2026**. JPMorgan disclosed a loss of around **\$170m**^[P252] **Reported**.

WHAT IT REVEALED

Secured lending is only as good as the security. "Senior secured" is a claim about paperwork, and paperwork can be falsified.

THE HONEST CAVEAT

Fraud is not a private credit phenomenon. Banks have been defrauded for centuries. The fair point is narrower: rapid growth and competition for deals reduce the time spent verifying.

Pluralsight · August 2024

THE RESTRUCTURING LESSON

WHAT HAPPENED

A technology education company with roughly **\$1.2bn to \$1.3bn of debt** was restructured. Lenders led by Blue Owl and Ares converted debt to equity and **took 100% ownership**, with the private equity sponsor's equity written off^[P253] **Confirmed**.

WHAT IT REVEALED

Two things, pulling in opposite directions. The process worked: lenders enforced, took the keys, and preserved value without a public bankruptcy. And a sponsor's equity cushion vanished entirely, which is what the cushion is for.

USE IT CAREFULLY

Critics cite it as evidence of losses. Defenders cite it as evidence the structure functions. Both readings are legitimate, and saying so is more impressive than picking one.

9.2 What the regulators actually say

Body	Document and date	The specific concern
Financial Stability Board	Report on vulnerabilities in private credit, 6 May 2026 ^[P173]	Bank exposure to private credit funds of roughly \$220bn on member data against \$270bn to \$500bn commercially estimated. Notes the measurement gap itself as a problem. Confirmed
Bank of England	System-Wide Exploratory Scenario, running 2025 to 2027 ^[P254]	A stress test across the roughly \$16trn private equity and private credit industry. The first serious attempt to model what happens when this sector is squeezed. Reported
FCA	Private market valuation review, March 2025 ^[P125]	36 firms, around £3trn of assets. Found weaknesses in governance and identified seven distinct channels through which valuation conflicts arise. Confirmed
ECB	Financial Stability Review special feature, May 2026 ^[P255]	Quantified euro-area bank, insurer and pension exposures. Its stress result put the impact at around 1.3% of equity , which is a notably contained figure. Confirmed
IMF	Global Financial Stability Report, April 2024 chapter ^[P256]	The first major official warning. Focused on opacity, stale valuations and the interaction with banks. Reported
NAIC	Private credit issue brief, April 2026 ^[P171]	US insurance regulators on what insurers now hold, including affiliated origination. Confirmed

9.3 The named critics, and the named defenders

THE CRITICS

- **Jamie Dimon**, JPMorgan, **15 October 2025**: the "cockroaches" remark, made in the wake of the Tricolor and First Brands failures, to the effect that when you see one problem there are usually more^[P257].
- **Mohamed El-Erian**, on the risk of investors treating semi-liquid funds as a cash machine^[P258].
- **Senator Elizabeth Warren**, letters to ratings agencies, **July 2025**, on ratings of private credit^[P259].
- **Carson Block** of Muddy Waters, known for short selling, publicly turning attention to credit^[P260].
- **Cliff Asness** of AQR, on volatility laundering. Part 5.5.

THE DEFENDERS

- **Marc Rowan**, Apollo, detailed rebuttals dated **24 November 2025**, arguing the risk is mispriced by critics who conflate illiquidity with credit risk^[P261].
- **Jon Gray**, Blackstone, pointing to the actual credit metrics of its largest vehicle^[P262].
- **Michael Arougheti**, Ares, publicly rejecting a bank's elevated default forecast^[P263].
- And the structural argument: locked-up capital cannot run, leverage is far below bank levels, and the loans are senior and secured.

9.4 The defence, stated at its strongest

Take this seriously, because it is largely correct.

- **The capital cannot run.** A bank funds thirty-year assets with deposits repayable today. A closed-end credit fund funds five-year loans with money committed for ten years. That is the *opposite* of a bank's maturity mismatch, and it is the single best argument in the asset class's favour.
- **Leverage is modest.** A BDC is limited to roughly two times. A bank operates at ten times or more.
- **The loans are senior and secured**, with equity beneath them, and around 86% are first lien or unitranche^[P51].
- **It has been tested.** The 2022 to 2024 rate shock more than doubled borrowing costs for these companies. Defaults rose but stayed in low single digits^{[P115][P117]}. That is real evidence, not a promise.
- **The exposure is small relative to banking.** Under 0.5% of bank assets on FSB data^[P173]; around 1.3% of equity in the ECB's euro-area stress^[P255].

9.5 The honest verdict

FIGURE 14 · WHAT WOULD ACTUALLY HAVE TO HAPPEN

For this to be systemic rather than simply painful for investors, three links must fire together

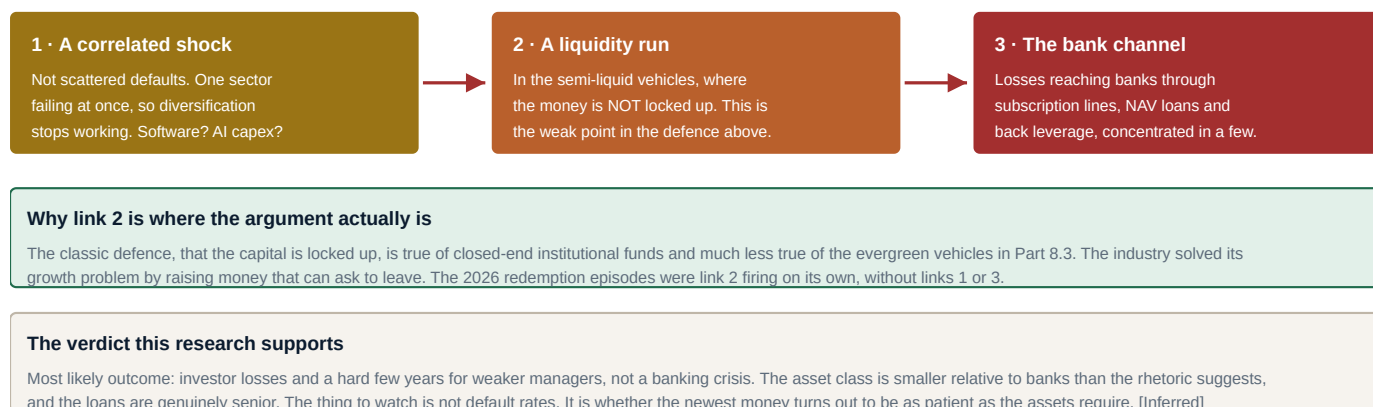


Figure 14. The transmission chain. **Inferred** synthesis of the regulator findings above.

YOUR OWN VIEW GOES HERE

You do not have to agree with the verdict above, and an interviewer will be more interested in how you reason than in where you land. But notice what the argument turns on. It is not really about credit quality. It is about whether the *liability* side, the money funding the loans, matches the *asset* side. That is the same question as Part 2.2, where banks turned out to be a poor match for these loans, and the same question as Part 8.3, where the industry went looking for new money.

If you can see that the whole history of this asset class is one repeated question about matching patient money to patient assets, you are thinking about it properly.

PART 10

Forming your own view

Five questions where thoughtful people disagree. For each, the strongest version of both sides. You will be asked at least one of these, and the answer they want is a reasoned position, not a summary.

Is the extra return real, or an illusion of smooth pricing?

REAL

The income is contractual and arrives in cash. Twenty-year returns of around 9.5% with cumulative losses of about 1% against 1.5% for high yield are not an accounting artefact^[P110]. Someone genuinely paid that interest.

PARTLY AN ILLUSION

The *return* may be real while the *risk* is understated. Unsmoothing work found true volatility understated by around 26%, cutting the risk-adjusted measure from 1.39 to 1.03^[P131]. If you size an allocation using reported volatility, you are taking more risk than you think.

Where to land: both, and the distinction matters. The return is real; the reported *stability* is manufactured by the absence of a price. For an investor who genuinely cannot sell, that may be harmless or even helpful. For one who might need the money, it is a trap.

Has the asset class outgrown its opportunity?

YES

Spreads compressed from S+600-650 to about S+475 by early 2026^[P301], which is competition rather than improving credit. Add-backs inflate earnings by as much as half^[P68]. Covenant-lite reaches 93% of larger loans^[P66]. Too much money chasing the same deals.

NO

The borrower universe is still expanding, banks remain constrained, and growth has shifted to genuinely different areas: asset-based finance and fund finance rather than more of the same corporate lending^[P52]. And spreads widened again in 2026.

Where to land: segment it. Large-cap sponsor lending looks crowded, and the syndicated market won 63% of large buyouts back in 2025^[P62]. The lower middle market and asset-based finance look less so. "It depends which part" is the right answer and shows you know there are parts.

Should ordinary savers be in this at all?

YES

Excluding ordinary savers from the asset classes institutions use is its own unfairness. A pension saver has a thirty-year horizon, which is exactly the patient capital these loans need. Policy in both the US and UK has deliberately moved this way^[P205].

NO

The 2026 redemption episodes showed the newest investors did not understand the exit terms. A default-fund member never chose this. And the product's fee load is heaviest precisely in the retail wrappers.

Where to land: the honest position separates the *asset* from the *wrapper*. Private credit inside a thirty-year pension default is a reasonable match. Private credit in a vehicle someone expects to be able to exit quarterly is a mismatch waiting to be discovered, and that is what 2026 discovered.

Is it a systemic risk?

Covered in 9.5. Short version: probably not on current evidence, because it is small relative to banking and the capital is mostly locked. The thing to watch is whether the newer, less patient money changes that.

Does it actually help the economy?

Evidence on both sides in 6.2. Academic work finds employment and innovation benefits at borrowers^[P303]; the British Business Bank uses private credit deliberately to fill a UK mid-market gap^[P304]. Against that, it enables higher leverage and may sustain companies that should restructure.

HOW TO HOLD ANY OF THESE IN AN INTERVIEW

State the position, give the strongest counter-argument yourself, then say what would change your mind. That last clause is the one that marks out a credit mind: people who lend for a living think constantly about what would make them wrong, because being wrong costs them everything and being right pays a coupon.

PART 11

The job

What a client-facing private credit specialist actually does, why the seat is harder here than in listed equities, and fifteen questions that test whether you really know this or read one article.

11.1 The seat exists, and here is what it is called

The role you described, client portfolio manager for private credit, is a real and named job. Live postings use titles including **Client Portfolio Manager, Private Credit** at Barings, and product specialist and private wealth solutions roles in credit at Blackstone, KKR and Fortress^[P340] Confirmed.

11.2 Why this seat is harder in private credit

In listed equities, the price is a fact and your job is to explain performance against it. In private credit there is no price, so the number you are explaining is one your own firm produced. That changes the job.

The challenge	What it means day to day
There is no market price	You are explaining a valuation, not reporting a fact. When a client asks "how do you know it is worth that?", the honest answer involves methodology, third-party valuation agents and board oversight. Part 5.5 is why this question is not hostile.
The performance language is different	Not a simple percentage return but IRR, MOIC, DPI, RVPI and TVPI. Explaining why IRR can be flattered by a subscription line, and why DPI is the number that cannot be flattered, is a core skill.
Capital calls confuse people	Investors commit money they have not yet paid. Explaining commitments, calls, the consequences of failing to fund a call, and why uncalled cash drags on returns is routine work.
The J-curve needs explaining	Less severe in credit than private equity because income arrives early, but still real.
Liquidity terms are now the main event	After 2026, every conversation about a semi-liquid vehicle involves the cap, the queue and the notice period. Part 8.3.
Due diligence is adversarial	A consultant's questionnaire on a credit fund asks about valuation governance, workout capability, PIK exposure and covenant packages. These are technical questions requiring technical answers.

KEY TERMS · THE PERFORMANCE VOCABULARY, DEFINED PROPERLY

- **IRR** — internal rate of return. Annualised, accounts for timing. Can be flattered by borrowing early so investor cash is called later.
- **MOIC** — multiple on invested capital. How many times the money came back, ignoring time entirely.
- **DPI** — distributions to paid-in. Cash actually returned, over cash put in. **The number that cannot be manipulated by a valuation.**
- **RVPI** — residual value to paid-in. What is still held, at the manager's estimate.
- **TVPI** — total value to paid-in. DPI plus RVPI. The headline multiple.
- **Vintage year** — the year the fund began investing. Funds are compared within vintages because conditions dominate.

If you learn one relationship: **TVPI = DPI + RVPI**. A fund with a high TVPI and a low DPI is telling you most of its reported value is still unrealised and rests on the manager's own estimate. Asking for the DPI split is the single most revealing question an investor can ask, and knowing that is a genuine signal.

11.3 Qualifications and background

From the postings reviewed: the CFA and CAIA appear as "desired" or "a plus" rather than required. Junior client portfolio manager roles indicated roughly three to five years of experience; director-level product specialist roles eight to fifteen^[P341] **Reported**. The CFA Institute offers a Private Markets Certificate and CAIA a private debt microcredential^[P342].

SOURCE UNCERTAIN — PAY

Disclosed ranges are thin, and UK postings disclose nothing because there is no equivalent pay transparency requirement. Two US data points found: an associate range of roughly **\$105,000 to \$175,000** and a vice president range of roughly **\$175,000 to \$200,000** at one large firm^[P343] **Reported**. Base salary only, excluding bonus, which in this industry is a large share of total pay. Treat as indicative and do not quote it as a market rate.

11.4 Fifteen questions that test whether you actually know this

If you are going to say you want to specialise in private credit, assume you will get several of these. Each note says what a good answer contains, not what to say.

1. **What is private credit?** Should include: direct lending, not traded, usually senior secured and floating rate, held to maturity. Part 1.1.
2. **How is it different from private equity?** Capped upside, protected downside, contractual income rather than exit-driven gains. Part 1.2.
3. **Why does it exist?** Bank capital rules after 2008, and the 2013 leveraged lending guidance. Bonus for knowing that guidance was withdrawn in December 2025. Part 2.2.
4. **How big is it?** A range with the reason for the range, not a single number. Part 2.3.
5. **Where does the return come from?** Reference rate, plus spread, plus OID and fees, minus losses, fees and leverage cost. Part 5.2.
6. **What is a unitranche?** One blended loan, split privately behind the scenes through an agreement among lenders. Part 4.2.
7. **How do you value a loan that does not trade?** Mark to model, third-party agents, board oversight, and honest acknowledgement of the conflict. Part 5.5.
8. **IRR versus MOIC versus DPI?** See the box above. Knowing why DPI is the hardest to flatter is the differentiator.
9. **What is PIK and why does it matter?** Interest paid in more debt. A legitimate tool and a stress signal when it spreads. Part 4.4.
10. **What happens when a borrower breaches a covenant?** Negotiation, waiver, amendment, possibly ownership. You cannot sell. Part 4.5.
11. **What is a gate and why do these funds have them?** Part 8.3, plus the 2026 episodes.
12. **Are default rates a good measure of stress?** No, and the reasons are amend-and-extend, PIK and waivers. Part 5.4.
13. **What is the biggest risk in private credit?** A view, with a mechanism. Part 9.5 gives you the transmission chain.
14. **Why are institutions buying evergreen funds?** Your FT article. Capital-call drag, the J-curve, slow distributions, and the 20% versus 11% arithmetic. Part 8.3.
15. **Why do you want to work on this rather than equities?** The honest personal answer. If it is that the analysis is about downside and structure rather than forecasting upside, say that.

11.5 What to read, to keep building

- **Alternative Credit Council**, its annual *Financing the Economy* report. The industry's own data, free.
- **KBRA** and **Lincoln International** for default and valuation data; **Cliffwater** for the index; **Proskauer** for its default index.
- **ILPA** for the standard definitions of the performance measures above.

- **Regulators:** the FSB report of May 2026, the FCA valuation review of March 2025, the Bank of England's Financial Stability Reports. All free, all primary, and almost nobody your age reads them.
- **Trade press:** Private Debt Investor, 9fin, Creditflux, Octus, Debtwire. Mostly subscription.

HOW TO SAY YOU WANT THIS SPECIALISM WITHOUT OVERCLAIMING

The weak version is "I'm really interested in private credit." The strong version names a specific thing you find interesting and shows you know the shape of the argument around it.

Examples of a genuine hook, each drawn from this document: that a loan can be marked at 50 and 77 cents by two funds in the same quarter; that the industry's defence rests on locked-up capital while its growth came from money that is not locked up; that the 2013 guidance which created the market was withdrawn in 2025; or that institutions are now buying the product built for individuals. **Pick the one you actually find interesting.** An interviewer can tell the difference, and the follow-up question will find you out if you cannot.

PART 12

Glossary

78 terms. If you can define forty of these, you can hold a conversation with a private credit investor. If you can define all of them, you can hold one with their client.

Add-back

An adjustment that increases reported EBITDA for costs a company argues are one-off or will disappear. Heavily negotiated, because the more add-backs are allowed, the more the company can borrow against the same real earnings.

Agreement among lenders (AAL)

The private contract that splits a unitranche loan into a safer first-out piece and a riskier last-out piece. The borrower sees one loan; the lenders privately divide the risk.

Amend and extend

Renegotiating a loan to push out its maturity rather than letting it default. Sensible workout tool, and also a way a troubled loan can avoid ever appearing in default statistics.

Amortisation

Repaying principal in instalments over the life of a loan, rather than all at maturity. Most direct lending is bullet repayment with little amortisation.

Asset-based finance (ABF)

Lending secured against specific assets or cash flows rather than a whole company: receivables, equipment, royalties, aircraft, consumer loans. The fastest-growing corner of private credit.

AUM

Assets under management. For private credit, read carefully: some figures include undrawn commitments (dry powder) and some do not, which is why market-size estimates differ so much.

BDC

Business development company. A US listed or non-traded vehicle created by legislation in 1980 to channel capital to smaller companies. Must distribute most of its income and faces limits on leverage.

Bilateral

A loan between one lender and one borrower, with no syndication.

Broadly syndicated loan (BSL)

A large loan arranged by a bank and sold in slices to many institutional investors. It trades, so it has a market price. Private credit's main competitor.

Bullet

A loan repaid in a single lump at maturity.

Capital call

A demand from a fund to its investors to send in a portion of the money they committed. The mechanism by which closed-end funds draw capital as deals arise.

Carried interest

The manager's share of profits above a hurdle, traditionally 20% in private equity and often lower in credit.

CLO

Collateralised loan obligation. A vehicle that buys a pool of loans and issues tranches of securities against them. A financing structure, not an asset class.

Club deal

A loan provided by a small group of lenders who know each other, rather than one lender or a broad syndicate.

Cov-lite

A loan without maintenance covenants. Common in the syndicated market. Private credit has historically retained maintenance covenants, though less universally than its marketing suggests.

Covenant

A promise in a loan agreement. A maintenance covenant must be met on a continuing basis and is tested regularly. An incurrence covenant only bites when the company does something specific, such as taking on more debt.

Credit committee

The internal body that approves or rejects a loan. The decision-making heart of a lending firm.

Default

Failure to meet an obligation under the loan agreement. Note that a covenant breach is a default even if every interest payment has been made, which is why covenants matter so much.

Delayed draw term loan (DDTL)

A commitment to lend more later, typically to fund acquisitions. Valuable to a borrower planning to buy other businesses.

Direct lending

The core of private credit: funds lending directly to companies, usually senior secured and floating rate.

Distressed debt

Buying the debt of companies already in serious trouble, usually at a deep discount, often with the aim of converting it into ownership.

DPI

Distributions to paid-in capital. How much cash a fund has actually returned, divided by how much investors have put in. The number that cannot be flattered by a valuation.

Drawdown fund

The traditional closed-end structure: commit for around ten years, capital is called as needed, money is returned as investments are realised, and there are no redemptions.

Dry powder

Capital that investors have committed but the fund has not yet invested.

EBITDA

Earnings before interest, tax, depreciation and amortisation. The rough proxy for cash generation against which loan size is measured. Its definition is negotiated, which is why add-backs matter.

ELTIF

European Long-Term Investment Fund. The EU structure for holding illiquid assets, reformed as ELTIF 2.0 to widen retail access.

Evergreen fund

A fund with no end date that accepts money continuously and allows limited periodic withdrawals, usually quarterly and typically capped at 5% of value.

First lien

The debt with the first claim on collateral in a default. The safest position in the capital structure.

First-out / last-out

The two halves of a unitranche. The first-out piece is repaid first and earns less; the last-out earns more and absorbs loss first.

Floating rate

Interest that resets with a reference rate. Most private credit is floating, so income rises when rates rise.

Fund finance

Lending to funds themselves rather than to operating companies. Includes subscription lines and NAV loans.

Gate

A limit on how much can be withdrawn from a fund in a given period.

Hurdle rate

The return a fund must exceed before the manager earns performance fees. Typically expressed as an annual percentage.

Illiquidity premium

The extra return an investor expects for accepting that they cannot sell. Whether it is genuinely earned or partly an artefact of not marking to market is a live debate.

Incurrence covenant

A restriction that applies only when a company takes a specific action, such as raising more debt.

Interest coverage ratio

Earnings divided by interest expense. How many times over a company can pay its interest bill. The single most watched stress indicator in private credit.

Interval fund

A US registered fund that must offer to repurchase between 5% and 25% of its shares each period under SEC Rule 23c-3.

IRR

Internal rate of return. An annualised return that accounts for the timing of cash flows. Can be flattered by using borrowed money early to delay calling investor capital.

J-curve

The tendency for a fund's early returns to look negative because fees are charged before investments mature. Less pronounced in credit than in private equity, because credit pays income from the start.

Junior debt

Debt ranking behind senior debt for repayment. Higher return, first to lose after equity.

Leverage

Borrowed money. It appears at three levels in private credit: inside the borrowing company, inside the fund, and sometimes at the investor. Each layer multiplies both return and risk.

Liquidity sleeve

Cash and readily saleable assets a semi-liquid fund holds specifically to meet withdrawals.

LTAF

Long-Term Asset Fund. The UK structure for holding illiquid assets, created by the FCA with a minimum 90-day redemption notice period and dealing no more often than monthly.

Mark to model

Valuing an asset using an internal estimate because no market price exists. Standard practice in private credit and the source of most valuation controversy.

Maturity

When the loan must be repaid.

Mezzanine

Debt sitting between senior debt and equity, often with an equity component. Higher return, higher risk.

Middle market

The band of companies private credit traditionally serves. Definitions vary; commonly companies with EBITDA between roughly \$10m and \$100m, with an upper middle market above that.

MOIC

Multiple on invested capital. How many times the original investment has been returned, ignoring timing. Reported alongside IRR because each hides something the other reveals.

NAV

Net asset value. What a fund says its holdings are worth, after debt. In private credit this is an estimate, not an observed price.

NAV loan

A loan secured against a fund's portfolio of investments rather than against a single company. Controversial because it can add leverage at the fund level to return cash to investors.

Non-sponsored

A borrower not owned by a private equity firm. Usually harder to source, often better priced, and requires more diligence.

OID

Original issue discount. Lending £98 for a loan that repays £100, which raises the effective yield. A standard way of adding return at the front.

Originate

To source, structure and make a loan yourself, rather than buying one someone else made. Origination capability is the main thing that separates private credit managers.

PIK

Payment in kind. Interest paid by increasing the loan balance rather than in cash. Useful flexibility for a growing borrower, and a warning sign when it rises across a portfolio.

PIK toggle

A provision letting a borrower choose to pay interest in kind rather than cash, usually at a higher rate.

Private placement

A security sold directly to a small number of investors rather than publicly offered. Insurance companies have done this for decades, and it is a forerunner of modern private credit.

Pro rata

Proportionate. When withdrawal requests exceed a fund's cap, each investor typically receives the same proportion of what they asked for.

Recovery rate

How much a lender gets back on a defaulted loan, as a percentage of what was owed. Just as important as the default rate, and less often quoted.

Reference rate

The floating benchmark a loan is priced over: SOFR in the US, SONIA in sterling, EURIBOR in euros.

RVPI

Residual value to paid-in capital. The value of what a fund still holds, relative to what investors contributed. The unrealised half of TVPI.

Second lien

Debt ranking behind first lien on the same collateral.

Senior secured

Debt with the first claim on repayment and specific assets pledged against it. The bulk of direct lending.

SOFR

Secured Overnight Financing Rate. The main US floating reference rate, which replaced US dollar LIBOR.

Special situations

Investing in complex or stressed circumstances that do not fit standard categories. Sits between direct lending and distressed.

Sponsor

A private equity firm that owns the borrowing company. Sponsor-backed lending is the majority of direct lending, because the sponsor supplies equity, governance and a repeat relationship.

Spread

The margin over the reference rate. Quoted as, for example, SOFR plus 500 basis points.

SRT

Significant risk transfer. A bank buys protection on a portfolio of its loans, transferring credit risk to an investor while keeping the loans. A fast-growing overlap between banks and private credit.

Subordinated

Ranking behind other debt for repayment.

Subscription line

A short-term loan to a fund secured against investors' unfunded commitments. Smooths cash flow, and flatters IRR by delaying capital calls.

Syndication

Selling parts of a loan to other lenders.

Tranche

A slice of a financing with its own terms and ranking.

TVPI

Total value to paid-in capital. Distributions plus remaining value, over capital contributed. The headline multiple.

Unitranche

A single blended loan that replaces separate senior and junior tranches. The signature private credit instrument: one lender, one document, one price, with the risk split privately behind the scenes.

Venture debt

Lending to young, loss-making companies, usually alongside venture capital equity and often with warrants attached.

Vintage year

The year a fund started investing. Vintages are compared with each other because market conditions dominate outcomes.

Waterfall

The order in which money from a company or a fund is distributed. Senior debt first, then junior, then equity.

Workout

The process of dealing with a loan that has gone wrong: renegotiating, restructuring, or enforcing security.

Yield to maturity

The total annualised return on a loan if held to repayment, including spread, fees and any discount.

PART 13

Source table

Every marker used in this pack. 77 sources. FETCHED means the page was read in full. SNIPPET means only a search summary was seen. PAYWALLED means the content was not read and was not guessed at. Check the status of any source before you rely on its claim in a written answer.

ID	Outlet	Title	Published	URL	Status	Accessed
P4	Federal Reserve Board	Private Credit: Characteristics and Risks (FEDS Notes)	23 Feb 2024	https://www.federalreserve.gov/econres/notes/feds-notes/private-credit-characteristics-and-risks-20240223.html	FETCHED	2026-09-18
P5	AIMA / Alternative Credit Council	Press Release: Strong growth sees private credit market reach US\$3.5 trillion	Report dated 9 Dec 2025 per	https://www.aima.org/article/press-release-strong-growth-sees-private-credit-market-reach-us-3-5-trillion.html	FETCHED	2026-09-18
P6	PitchBook	Private credit AUM could hit \$4.5 trillion by 2030, boosted by AI buildout – BlackRock	Undated (recent, 2026)	https://pitchbook.com/news/articles/private-credit-aum-could-hit-4-5-trillion-by-2030-boosted-by-ai-buildout-blackrock	PAYWALLED	2026-09-18
P7	Moody's	Will Private Credit Maintain Its Momentum in 2026?	2026	https://www.moody's.com/web/en/us/creditview/blog/private-credit-2026.html	FETCHED	2026-09-18
P10	Carlyle	Mapping the Growth of Private Credit Across Europe	Undated (recent)	https://www.carlyle.com/up-close-with-carlyle/growth-private-credit-europe	FETCHED	2026-09-18
P11	Financial Stability Board	Report on Vulnerabilities in Private Credit	6 May 2026	https://www.fsb.org/uploads/P060526.pdf	FETCHED	2026-09-18
P12	GovTrack.us / Congress.gov	Small Business Investment Incentive Act of 1980 (H.R. 7554, 96th Congress)	Enacted 21 Oct 1980	https://www.govtrack.us/congress/bills/96/hr7554	SNIPPET	2026-09-18
P51	Proskauer Rose LLP	Private Credit Restructuring Trends: No AAL, No Problem?	undated (2026 alert)	https://www.proskauer.com/alert/private-credit-restructuring-trends-no-aal-no-problem	FETCHED	2026-09-18
P52	Alternative Credit Investor	ABF and specialty finance to lead private credit growth	2026-06-04	https://alternativecreditinvestor.com/2026/06/04/abf-and-specialty-finance-to-lead-private-credit-growth/	FETCHED	2026-09-18
P54	Haynes Boone	2026 Fund Finance Annual Report (press release)	2026-04-27	https://www.haynesboone.com/news/press-releases/2026-fund-finance-annual-report	FETCHED	2026-09-18
P55	Sidley Austin LLP	Financial Covenants in Private Credit Transactions	2026-03	https://www.sidley.com/en/insights/newsupdates/2026/03/financial-covenants-in-private-credit-transactions	FETCHED	2026-09-18
P59	Inside Private Credit (Substack)	How a Private Credit Deal Is Sourced	undated (2026)	https://insideprivatecredit.substack.com/p/how-a-private-credit-deal-is-sourced	FETCHED	2026-09-18
P60	Bank for International Settlements	The rise and risks of synthetic risk transfers	BIS Quarterly Review, 2026 (	https://www.bis.org/publ/qtrpdf/rqt2603c.pdf	FETCHED	2026-09-18
P61	CBRE	Private Credit Stress: Contained or Contagious?	2026-05-11	https://www.cbre.com/insights/briefs/private-credit-stress-contained-or-contagious	FETCHED	2026-09-18
P62	Man Group	2026 Credit Outlook: Divergence Meets Opportunity	2026	https://www.man.com/insights/2026-credit-outlook	FETCHED	2026-09-18
P63	Northleaf Capital	Private Credit Market Update: Q1-2026	2026 (Q1 update)	https://www.northleafcapital.com/news/private-credit-market-update-q1-2026	FETCHED	2026-09-18
P66	PitchBook	EBITDA adjustments are getting ridiculous	undated	https://pitchbook.com/news/articles/ebitda-adjustments-are-getting-ridiculous	PAYWALLED	2026-09-18
P67	S&P Global Ratings	EBITDA Addback Study Shows Increased Debt Projection and Leverage Misses	2026 (regulatory article ser	https://www.spglobal.com/ratings/en/regulatory/article/ebitda-addback-study-shows-increased-debt-projection-and-leverage-misses-s101670186	PAYWALLED	2026-09-18

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P68	Axios	Signs of distress are showing up in private credit	2026-08-07	https://www.axios.com/2026/08/07/private-credit-pik-distress	PAYWALLED	2026-09-18
P69	Wikipedia	NAV lending	undated (2026 revision)	https://en.wikipedia.org/wiki/NAV_lending	SNIPPET	2026-09-18
P70	Clifford Chance	NAV Financing briefing	2026-01	https://www.cliffordchance.com/content/dam/cliffordchance/briefings/2026/01/nav-financing.pdf	SNIPPET	2026-09-18
P71	re-cap.com	Venture Debt Guide [2026]: Costs, Terms & Eligibility for Startups	2026	https://www.re-cap.com/financing-instruments/venture-debt	SNIPPET	2026-09-18
P72	PIMCO	Asset-Based Finance: Redefining the Private Credit Landscape	undated (2026)	https://www.pimco.com/us/en/investment-strategies/asset-based-finance	SNIPPET	2026-09-18
P73	TPG	Asset-Based Finance: A Growing Frontier for Private Credit	undated (2026)	https://www.tpg.com/news-and-insights/asset-based-finance-a-growing-frontier-for-private-credit	SNIPPET	2026-09-18
P101	SEC EDGAR	Ares Capital Corp — Second Amended and Restated Investment Advisory Agreement (Exhibit 10.1)	2019 (filed)	https://www.sec.gov/Archives/edgar/data/1287750/000110465919034410/a19-11200_1ex10d1.htm	FETCHED	2026-09-18
P107	Cliffwater LLC	Cliffwater Direct Lending Index Data Supports Strength of Private Credit (press release PDF)	2026-03-31 (per Morningstar	https://www.cliffwater.com/files/docs/CliffwaterPressRelease_CDLI_2025_Results.pdf	PAYWALLED	2026-09-18
P110	Larry Swedroe (Substack)	Private Credit Delivers Strong Q2 2025 Performance	2025	https://larryswedroe.substack.com/p/private-credit-delivers-strong-q2	SNIPPET	2026-09-18
P111	AllianceBernstein	What Are Investors Really Getting from Private Markets?	undated	https://www.alliancebernstein.com/corporate/en/insights/investment-insights/what-are-investors-really-getting-from-private-markets.html	SNIPPET	2026-09-18
P115	Investing.com	Private Credit in 2026: Record Defaults, Softer Returns and New Regulatory Focus	2026	https://www.investing.com/analysis/private-credit-in-2026-record-defaults-softer-returns-and-new-regulatory-focus-20686600	SNIPPET	2026-09-18
P116	Moody's	Default rates are easing. Credit risk is fragmented and fragile across markets	2026-04-28	https://www.moody's.com/web/en/us/insights/credit-risk/private-credit/us-corporate-default-risk-in-2026.html	FETCHED	2026-09-18
P117	Advisor Perspectives (PIMCO commentary)	Narrowing the Visibility Gap in Defaults	2026-08-26	https://www.advisorperspectives.com/commentaries/2026/08/26/narrowing-visibility-gap-defaults	PAYWALLED	2026-09-18
P118	Reed Smith	The hidden fault lines: Understanding shadow defaults in private credit	2026-02-10	https://www.reedsmith.com/articles/the-hidden-fault-lines-understanding-shadow-defaults-in-private-credit/	FETCHED	2026-09-18
P119	ABF Journal	The PIK Divide: Separating Structural Flexibility from Shadow Distress in Private Credit	current	https://www.abfjournal.com/the-pik-divide-separating-structural-flexibility-from-shadow-distress-in-private-credit/	SNIPPET	2026-09-18
P120	Golub Capital (education site)	Whose Default Is It? Default Disparities Across Private and Public Credit	current	https://education.golubcapital.com/resource/whose-default-is-it-default-disparities-across-private-and-public-credit/	SNIPPET	2026-09-18
P125	Journal of Accountancy	Fair value considerations for private credit providers and their investors	2026-04	https://www.journalofaccountancy.com/issues/2026/apr/fair-value-considerations-for-private-credit-providers-and-their-investors/	SNIPPET	2026-09-18
P126	Financial Conduct Authority (FCA)	Private market valuation practices (multi-firm review)	2025-03-05	https://www.fca.org.uk/publications/multi-firm-reviews/private-market-valuation-practices	FETCHED	2026-09-18
P130	Larry Swedroe (Substack)	Is Private Credit's Smooth Ride Real — Or an Accounting Illusion?	2026-08-04	https://larryswedroe.substack.com/p/is-private-credits-smooth-ride-real	FETCHED	2026-09-18
P131	AQR Capital Management (Cliff Asness)	I Did Not Predict What Is Going on in Privates	2026-03-25	https://www.aqr.com/Insights/Perspectives/I-Did-Not-Predict-What-is-Going-on-in-Privates	FETCHED	2026-09-18

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P150	SEC/Ares (via search)	Ares Management Q2 2026 10-Q AUM figures	30 Jun 2026	https://www.sec.gov/Archives/edgar/data/0001176948/000162828026054538/ares-20260630.htm	SNIPPET	2026-09-18
P151	Blackstone / press (via search)	Blackstone Credit & Insurance (BXCi) AUM and formation	2023–2026	https://www.blackstone.com/our-businesses/credit-and-insurance-bxci/	FETCHED	2026-09-18
P152	BNN Bloomberg	Blue Owl's second-quarter profit rises, AUM reaches US\$319 billion	30 Jul 2026	https://www.bnnbloomberg.ca/business/company-news/2026/07/30/blue-owls-second-quarter-profit-rises-aum-reaches-319-billion/	SNIPPET	2026-09-18
P155	SEC/KKR (via search)	KKR Credit and Liquid Strategies AUM	30 Jun 2026	https://www.sec.gov/Archives/edgar/data/0001404912/000140491226000027/kkr-20260630.htm	SNIPPET	2026-09-18
P156	Golub Capital (via search)	Golub Capital capital under management	Jul 2026	https://golubcapital.com/about/about-us/	SNIPPET	2026-09-18
P160	GSAM (via search)	Goldman Sachs Asset Management alternatives/private credit AUM	Dec 2025 / 2026	https://am.gs.com/en-us/advisors/products/private-credit	SNIPPET	2026-09-18
P161	PGIM (via search)	PGIM private credit and secondaries AUM	Jan 2026	https://www.pgim.com/us/en/institutional/investments/strategies/alternatives/private-credit	SNIPPET	2026-09-18
P170	Franklin Resources / Franklin Templeton (via search)	Franklin Templeton Completes Acquisition of Alcentra	1 Nov 2022	https://investors.franklinresources.com/news-center/press-releases/press-release-details/2022/Franklin-Templeton-Completes-Acquisition-of-Al	SNIPPET	2026-09-18
P171	Pulse2.com	CVC Reports Strong Delivery In H1 2026 With Fee-Paying AUM Of €153 Billion	2026	https://pulse2.com/cvc-report-strong-delivery-in-h1-2026-with-fee-paying-aum-of-e153-billion/amp/	FETCHED	2026-09-18
P172	Creditflux / Permira (via search)	Permira Credit AUM figures	2026	https://www.creditflux.com/CL0s/2026-05-13/Permira-upsizes-for-second-new-US-CLO-of-2026	SNIPPET	2026-09-18
P173	Apollo Global Management IR	Apollo and Athene to Merge in All-Stock Transaction	8 Mar 2021	https://ir.apollo.com/news-events/press-releases/detail/107/apollo-and-athene-to-merge-in-all-stock-transaction	FETCHED	2026-09-18
P201	Private Equity Wire	Blackstone and KKR evergreen funds for wealth investors attract institutional backers	26 Aug 2026	https://www.privateequitywire.co.uk/blackstone-and-kkr-evergreen-funds-for-wealth-investors-attract-institutional-backers/	Reported	2026-09-18
P202	Private Equity Wire	KKR expands deal allocation for evergreen funds targeting wealthy investors	undated on page	https://www.privateequitywire.co.uk/kkr-expands-deal-allocation-for-evergreen-funds-targeting-wealthy-investors/	Reported	2026-09-18
P203	Private Equity Insights	KKR revises fund terms to give wealthy investors bigger slice of deals	undated on page	https://pe-insights.com/kkr-revises-fund-terms-to-give-wealthy-investors-bigger-slice-of-deals/	Reported	2026-09-18
P204	Yahoo Finance (Zacks syndication)	Big Institutions are Quietly Buying Into Blackstone (BX) and KKR's Wealth Funds	2026	https://finance.yahoo.com/markets/stocks/articles/big-institutions-quietly-buying-blackstone-192655710.html	Reported	2026-09-18
P205	Insider Monkey	Big Institutions are Quietly Buying Into Blackstone (BX) and KKR's Wealth Funds	2026	https://www.insidermonkey.com/blog/big-institutions-are-quietly-buying-into-blackstone-bx-and-kkrs-wealth-funds-1826673/	Reported	2026-09-18
P206	plutuspulse101x.org (blog)	The Institutionalisation of Evergreen — why liquidity terms need a governance answer	undated	https://www.plutuspulse101x.org/the-institutionalisation-of-evergreen-why-liquidity-terms-need-a-governance-answer/	Reported	2026-09-18
P251	Financial Stability Board	Report on Vulnerabilities in Private Credit / FSB warns on private credit vulnerabilities	6 May 2026	https://www.fsb.org/2026/05/fsb-warns-on-private-credit-vulnerabilities/	FETCHED	2026-09-18
P252	Baker McKenzie	United Kingdom: Private Markets Face Closer Scrutiny from Regulators	Apr 2026	https://www.bakermckenzie.com/en/insight/publications/2026/04/united-kingdom-private-markets-face-closer-scrutiny-from-regulators	FETCHED	2026-09-18
P253	Skadden	FCA Findings on Private Market Valuations Stress Risk of Conflicts and Need for Independence	Mar 2025	https://www.skadden.com/insights/publications/2025/03/fca-findings-on-private-market-valuations	FETCHED	2026-09-18

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P254	European Central Bank	Financial Stability Review, May 2026 — special feature: Stress in global private credit markets	May 2026	https://www.ecb.europa.eu/press/financial-stability-publications/fsr/special/html/ecb.fsrart202605_04-3f2135af91.en.html	FETCHED	2026-09-18
P255	NAIC	Insurance Topics: Private Credit	ongoing/2026	https://content.naic.org/insurance-topics/private-credit	FETCHED	2026-09-18
P256	Latham & Watkins / Ontra	SEC and CFTC Form PF amendments coverage	Feb 2024 adoption; Apr 2026	https://www.lw.com/en/insights/2026/04/SEC%20and%20CFTC%20Propose%20Significant%20Amendments%20to%20Private%20Fund%20Reporting%20Requirement	FETCHED	2026-09-18
P257	Office of Financial Research	Measuring Counterparty Exposures to Private Credit	Mar 2026	https://www.financialresearch.gov/briefs/2026/03/12/measuring-counterparty-exposures-private-credit/	SNIPPET	2026-09-18
P258	Yahoo Finance (relaying JPMorgan Q3 2025 earnings call)	Jamie Dimon issues private credit warning: 'When you see one cockroach, there are probably more'	15 Oct 2025	https://finance.yahoo.com/news/jamie-dimon-issues-private-credit-111557227.html	FETCHED	2026-09-18
P259	Yahoo Finance / Finance aggregation of El-Erian public comme	Mohamed El-Erian warns of financial-crisis red flags after a major private-credit fund freezes withdrawals	2026	https://finance.yahoo.com/news/mohamed-el-erian-warns-financial-153549132.html	FETCHED	2026-09-18
P260	Wikipedia	2025-2026 private credit crisis	ongoing, accessed 2026	https://en.wikipedia.org/wiki/2025%E2%80%932026_private_credit_crisis	FETCHED	2026-09-18
P261	WealthManagement.com	Rowan Says People 'Lost Their Minds' Over Private Credit Fears	24-25 Nov 2025	https://www.wealthmanagement.com/alternative-investments/rowan-says-people-lost-their-minds-over-private-credit-fears	FETCHED	2026-09-18
P262	AIMA	First Brands Group - Putting Private Credit Exposure into Perspective	2025	https://www.aima.org/article/first-brands-group-putting-private-credit-exposure-into-perspective.html	FETCHED	2026-09-18
P263	Institute and Faculty of Actuaries (blog)	Private credit: First Brands case study	Jul 2026	https://blog.actuaries.org.uk/2026/7/private-credit-first-brands-case-study/	FETCHED	2026-09-18
P300	Kadenwood Group	"Private Credit vs Syndicated Loan Spreads: the Premium Widened to 162bp by August 2026"	2026 (exact date not shown o	https://kadenwoodgroup.com/perspectives/the-private-loan-premium-widened	FETCHED	2026-09-18
P301	Reuters (via Investing.com)	"Analysis-Cost gap drives some US borrowers from private credit to bank-led syndicated loans"	2026	https://www.investing.com/news/stock-market-news/analysis-cost-gap-drives-some-us-borrowers-from-private-credit-to-bank-led-syndicated-loans-4	FETCHED	2026-09-18
P302	PitchBook (via Yahoo Finance syndication)	"Private credit loses its edge in the battle for PE borrowers"	2026	https://finance.yahoo.com/markets/options/articles/private-credit-loses-edge-battle-213250231.html	FETCHED	2026-09-18
P303	PitchBook	"Syndicated loan market strikes back, refinances private credit deals"	2024	https://pitchbook.com/news/articles/syndicated-loan-market-strikes-back-refinances-private-credit-deals	FETCHED	2026-09-18
P304	PitchBook	"Trend shifts from private credit back to syndicated loans, but not for all"	2024	https://pitchbook.com/news/articles/trend-shifts-from-private-credit-back-to-syndicated-loans-but-not-for-all	FETCHED	2026-09-18
P340	Blackstone (myworkdayjobs)	Blackstone Private Wealth – Product Specialist (Credit), Vice President	n/d (live posting)	https://blackstone.wd1.myworkdayjobs.com/en-US/Blackstone_Careers/job/Blackstone-Private-Wealth---Product-Specialist---Credit---Vice-President	FETCHED	2026-09-18
P341	Blackstone (myworkdayjobs / CFA Institute job board mirror)	Blackstone Private Wealth – Product Specialist, Associate (Credit)	n/d (live posting)	https://blackstone.wd1.myworkdayjobs.com/en-US/Blackstone_Careers/job/Blackstone-Private-Wealth---Product-Specialist---Associate---Credit-_435	SNIPPET	2026-09-18
P342	Barings via Welcome to the Jungle	Client Portfolio Manager (Private Credit, Senior Associate / Associate Director), London	n/d (live posting)	https://www.welcometothejungle.com/en/companies/barings/jobs/client-portfolio-manager-private-credit-senior-associate-director_london	FETCHED	2026-09-18
P343	Built In	Blackstone Credit – Institutional Client Solutions Team (ICS), Sales Associate	n/d (posting removed from bo	https://builtin.com/job/blackstone-credit-institutional-client-solutions-team-ics-sales-associate/4111629	FETCHED	2026-09-18

All URLs accessed 19 September 2026.

PART 14

Gaps, and what to check yourself

What this research could not establish, and which claims are thinner than they look. Included because a document about an opaque asset class that pretended to be complete would be missing its own point.

14.1 Claims to handle with care

Claim	The problem	What to do
That USS is buying evergreen funds	Search summaries of the Financial Times report name it. No reliable fetchable source corroborated it, and the trade outlets read in full name no institution ^[P203] . The FT was unreachable.	Do not name the institution. The structural claim is well supported; the name is not.
Recovery rate of 33%	One Federal Reserve study ^[P120] . Industry sources have historically claimed much higher figures. It has not been reconciled.	Attribute it explicitly. It is a strong point precisely because it is contested.
The add-back figures	The 29% and 55% figures come from a study whose primary text was paywalled ^[P68] .	Say "studies have found add-backs of roughly half of reported earnings" rather than quoting precisely.
Spread levels	Direct lending spreads are not published on an exchange. Every figure is a vendor or adviser estimate, and they differ ^[P301] .	Use them for direction of travel, not as precise levels.
Market size and forecasts	Covered in Part 2.3. Forecasts to 2030 are firms' projections, several with an interest in the answer.	Always attribute a forecast to whoever made it.
AUM league table figures	Not like-for-like across firms ^[P150] .	Use for ranking and scale only.
Pay ranges	Two US data points, base salary only, no UK disclosure ^[P343] .	Do not treat as a market rate.

14.2 What could not be established

- **The original FT article.** The site was unreachable. Everything about the institutional-into-evergreen story here comes from corroborating trade coverage.
- **Any regulator commentary specifically labelling "retailisation" as a risk.** Sought, not found at citable quality. Regulators discuss liquidity mismatch and valuation; the retail framing appears mostly in press.
- **Asia-Pacific private credit** is essentially unresearched here. The document is US and Europe weighted, and the UK material is thinner than the US material.
- **A clean year-by-year return series** comparing direct lending against syndicated loans, high yield and equities. The index figures quoted are point estimates from summaries, not a built series.
- **The exact numeric thresholds in the 2013 leveraged lending guidance.** Its existence, date, issuing agencies and December 2025 withdrawal are confirmed; the specific leverage limits it set are not.
- **Any 2026 named borrower collapse** beyond those in Part 9.1. Absence of evidence, not evidence of absence.

14.3 Five things to do next, in order

- ☐ Read the **FSB report of 6 May 2026** on vulnerabilities in private credit. Free, primary, and it is the single best document on the risk debate.
- ☐ Read the **FCA valuation review of March 2025**. Short, and it makes Part 5.5 concrete.
- ☐ Open one **BDC quarterly filing**, any of the five in Figure 13, and find the fee terms and the PIK disclosure yourself. Nothing builds fluency faster than reading one real document.
- ☐ Read the **Alternative Credit Council's *Financing the Economy*** for the industry's own account, and notice where it differs from the regulators'.
- ☐ Find and read **your FT article** properly, so you can name the institutions yourself rather than relying on this document's caveat.

A LAST THOUGHT ON WHY THIS ASSET CLASS SUITS THE JOB YOU WANT

Private credit has no price, contested valuations, four different default rates, market-size estimates that vary twofold, and a defence that rests on an assumption about investor behaviour that was tested for the first time in 2026.

That is either a reason to avoid it or a reason it needs people who can explain things honestly. An asset class where the numbers are unambiguous does not need a translator. This one does. If you want an answer to "why private credit?" that is about the work rather than the returns, that is the strongest one available, and it happens to be true.